



HEC MBA Case Book

Spring 2019

2nd Edition
HEC MBA Consulting Club

A letter from the team:

Hi everyone,

Welcome to the latest edition to the HEC MBA Case Book. Initially created by our S17 colleagues, the Case Book is a key piece in our club mission, and specifically the final pillar:

“...to build a long-term hub for HEC MBA students to drive broad awareness of consulting opportunities, engage with the firms of their interest and **prepare to achieve their professional goals across the world.**”

Its purpose is to give HEC MBAs the tools and information they need to start their journey towards becoming the strongest possible candidates for the careers they want. Far from exhaustive, this book should serve as merely a foundation on which practice, discussion and reflection should build. The information is also reflective of necessarily limited sources, and does not purport to be demonstrative of every consulting firm, their recruiting process, or their values.

Lastly, the insights within are the collective contributions of many dozens of HEC MBA students, whose diverse experiences have truly shaped this book. We are extremely grateful for their participation and proud to call them our classmates.

Happy reading!

Best,

Luca Pasotti

Case Book Editor-in-Chief, S18

Jon Wiedeman

MBA Consulting Club President, S18

8 sections to help you hone case interviews skills

1 Introduction	How to use HEC Case Book	7
	Overview of the Management Consulting industry	8
	Matrix: Big Companies vs Boutique Consulting	9
	The Different Consulting Segments	10
2 The Interview	Overview of the Consulting Interview	12
	The FIT Interview	13
	The CASE Interview	14
	Q & A	19
3 Industry Overviews	Aeronautical	21
	Automotive	22
	Banking	23
	Fast Moving Consumer Goods	24
	Impact Investing	25
	Manufacturing	26
	Pharmaceuticals	27
	Private Equity	28
	Technology	29

8 sections to help you hone case interviews skills

4	Trainer	Case Preparation	31
		Case Facilitation	32
		Structured Feedback	33
5	Trainee	Soft vs Hard Skills	36
		Case Preparation	37
		Structured Learning	38
6	Networking	Making Connections	40
		Asking the Right Questions	41
7	Practice	Fit Interviews	43
		Case Openings	46
		Market Sizing	50
		Mental Math	51

8 sections to help you hone case interviews skills

8	Cases	Case Name	Case Type	Industry	Difficulty	
		Downstream Oil	Growth	Oil & Gas		57
		Consultancy	M&A	Consulting		63
		Clothing Retailer	Market Entry	Retail		68
		Printing Co.	Pricing	CPG		73
		School	Go / No Go	Education		76
		Pescador Group – NEW	Investment Case	Impact Investing		81
		Ultra Running Ltd. – NEW	Growth	Sport		86
		Motor Sport – NEW	Market Entry	Sport		93
		Mall Scooters – NEW	Go / No Go	Retail		112
		Technology Takedown – NEW	Competitive Strategy	Technology		118
		Neue Art Gallery – NEW	Growth	Arts		126
		Sub Product Disposal – NEW	Growth	Mining		132

INTRODUCTION



Image:
HEC Paris
Chateau

Reading a case book is not a substitute to practice and structured learning

A case book designed to support your preparation ...



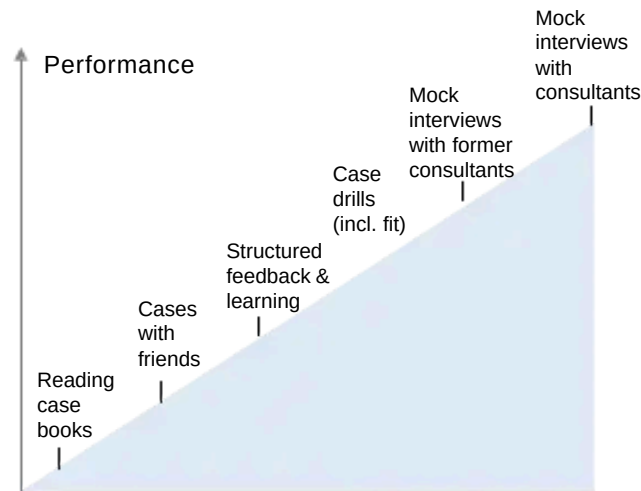
How to use case book

- Read The Interview, Trainer and Trainee sections to get familiar with the case interview format and expectations
- Inform yourself on high level insights with the Industry Overviews
- Observe a case offered by a friend to another friend (shadowing)
- Perform case drills using the Practice section to hone skills on specific parts of case interviews
- Receive cases and ensure structured learning and performance improvement tracking
- Master one case as a trainer and offer it a diversity of trainees
- Actively track performance of trainees and provide structured feedback

...however, reading it is not enough to ensure interview readiness.



Activities that can help you master case interview skills (Non-exhaustive)



Management consulting firms provide solutions to complex business problems

Industry Overview

Clients value objective perspectives, proprietary knowledge, and highly talented, productive consultants to solve their problems. Consulting firms improve company performance through objective, expert advice and structured implementation of business solutions. ¹

The management consulting industry is estimated at ~\$250B and is closely tied to the performance of the overall economy ². Yet through specialized offerings, successful firms continue to be hired in good and bad economic times, whether to grow, cut costs, or turn things around.

Industry Breakdown

Generalist

Offer broad spectrum of business advisory needs, and often rely on global/regional staffing models to source experts. Differentiate on capability, experience, scope and lasting C-suite relationships with the world's largest corporations.

Specialist (Industry/Function/Service)

Focus on particular industry, function, or service area to differentiate on a narrow set of strengths. Targeted advisory services include M&A, turnarounds, market entry etc. Typically small (10-500FTEs) and more horizontal/flexible in culture³

Internal

Division of a larger, non-consulting firm which serves to tackle strategic problems for its own company. Projects are similarly short, strategic and complex, but culture aligns more closely to corporate. Often called Corporate Strategy.

Key Trends

Digital & Design – Firms build out new competencies in digital strategy, analytics and design, largely through acquisitions as clients see technology transforming every industry. The line between the business and its technology is blurring. Digital consulting expected to increase +13.5 percent in 2019 vs global consulting market (+4.1%) ³

Expanding down the value chain – Clients demand deeper capabilities to test, implement and manage solutions instead of just conceptualizing them. Previously pure strategy firms (McKinsey, BCG) have started to implement their own advice.

Outcome-based contracts – Clients who traditionally paid for time and materials demand outcomes instead. Contracts are increasingly paid upon success of certain milestones, meaning consultants have more skin in the game (but also flexibility on how to deliver).

¹Management Consultancies Association (MCA); ²Consultancy.UK; ³Vault, 2018

1 INTRODUCTION: MANAGEMENT CONSULTING INDUSTRY

Firms across the industry vary widely by size and specialization

Highly specialized

More diversified

Highly diversified

Global Firms

Mid-Size

Boutique

1 INTRODUCTION: MANAGEMENT CONSULTING INDUSTRY

Specializations typically center around an industry or functional expertise**

Healthcare	Technology*	Financial Services*	Public Sector	Retail & Luxury	Energy & Utilities	Automotive
Deloitte	The Hackett Group	EY	accenture	LUX & BEE	NAVIGANT	RENAULT-NISSAN CONSULTING
IQVIA	BCG	pwc	THE BRATTLE GROUP	TGC	NAVIGANT	EMERTON
CLEARVIEW Healthcare Partners	BAIN & COMPANY	Delta Capita	The Bridgespan Group	MVD	ICF	LEK
THE CHARTIS GROUP	accenture	CAPCO	BFA	hrc	scottmadden	BAIN & COMPANY
LEK	PERFICIENT	OLIVER WYMAN	LOCKHEED MARTIN	ELIXIR	PA Consulting Group	STAHL
The Advisory Board Company	kickstage	protiviti	PA Consulting Group	LIBB ASIA	IHS Markit	BCG

**Firms shown are differentiated based on a particular specialization. This does not necessarily mean that they don't offer other services.

*The Tech (Google, Microsoft, SAP) and Financial Services (JP Morgan, Blackstone) industries differ from the Tech and Finance functions within other companies (who may be of any industry)

Strategy	Technology*	Marketing	Operations	HR	Finance	Risk	Design & Innovation	Sustainability
McKinsey & Company	accenture	Digitas	INSIGHT	MERCER	pwc	MARSH	IDEO	pwc
BCG	IBM	IBM iX	Maine Pointe	LANCE Partners	EY	the redwood group	FJORD	Deloitte
BAIN & COMPANY	Infosys	Opily	ARGON CONSULTING	Aon Hewitt	awalee	WILLIS TOWERS WATSON	VIVALDI	pure STRATEGIES
CVA	TIMA CONSULTANCY SERVICES	accenture	Capgemini	Hay-Group	The Hackett Group	Oxford Analytica	Fahrenheit212	HYSTRA
OC&C	SAP	Deloitte	IMPLEMENT CONSULTING GROUP	HURON	Deloitte	eurasia group	DOBLIN	Twynstra Gudde
Applied Value	Cognizant	SAPIENT RAZORFISH	KEPLER	WILLIS TOWERS WATSON	KPMG	protiviti	frog	ARUP

THE CONSULTING INTERVIEW

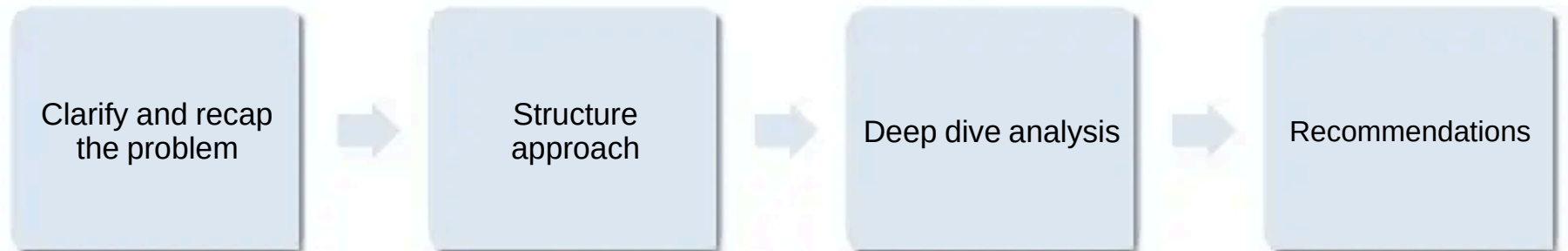


Image:
HEC Paris
Chateau

Consulting interviews are typically composed of three sections



Case Interviews can be further segmented into four parts:



Fit questions at the start of an interview determine the tone for the rest of the session

Be very well prepared for the most obvious questions:

Tell me about yourself:

- ☐ Practice a short, 30-60 second elevator pitch to address this request, identifying your key differentiators which make you both valuable and memorable.
- ☐ Be sincere. Firms will respect maturity, thoughtfulness and conviction.

Walk me through your CV:

- ☐ Link your professional steps in a way that shows that your career was a planned and rational journey, but be truthful about surprises.
- ☐ Explain your thinking with each decision to demonstrate logic. Highlight what you learned at each stage which eventually led you to the amazing firm that you are interviewing for.
- ☐ Be concise, yet informative. Don't dive into details or bullets, just explain the journey.

Why this firm?

- ☐ Do your homework! Do comprehensive and honest research of the company. Your reasons should be unique to this firm and not others.
- ☐ Find common ground to show a good fit. The firm's work and culture should align to your interests, style or experience. If your answer feels contrived, you either don't know enough about the firm or you shouldn't be there.

Demonstrate what makes you great, and connect:

Make a good first impression!

- ☐ Smile! Be polite and respectful, yet also firm, concise and clever.

Have an opinion

- ☐ As an MBA, you should have thoughtful opinions on the industry, the firm and leadership. Remain humble and open, but demonstrate your judgment.

Try to create a genuine connection with the interviewer

- ☐ If she or he allows, ask a couple of questions about their background and previous experiences in addition to what you may already know.
- ☐ Recognize that only sincerity creates genuine connections. Consultants are human, they are fallible and they are interested in you. Be yourself.

PRO-TIP

48h to 24h before the interview, call the HR to confirm your appointment and ask who your interviewer(s) will be

- ☐ Shows professionalism and allow you to research who is interviewing you. Interviewers – especially partners – will likely give you a case related to his/her previous experience.
- ☐ Helps you find common ground and tailor your questions.

Note: See Practice section for a list of common fit questions

Keeping in mind why case interviews are performed will put you in the right mindset

Why case interviews are used in consulting?

- To assess candidates' skills used every day on the job in management consulting:
 - Logical structure of complex problems
 - Communication and engagement
 - Analytical thinking under pressure

Which skills are being assessed?

- | | |
|-------------------|-------------------|
| □ Empathy | □ Structure |
| □ Problem solving | □ Executive speak |
| □ Enthusiasm | □ Business acumen |
| □ Ownership | □ Creativity |

What case interviews are not?

- A math exam
- Memory test on frameworks
- A speed run
- A knowledge test

Cases involve difficult business questions which require clarification and a structured approach

1. Clarify and recap the problem

- Understand the client's business: the business model of the company, its economic and competitive environment
- Understand the client's objective: clarify the success criteria, relevant KPIs for the client
- Possibly clarify critical time-related or geographic information. Does the firm operate regionally or globally? Does it need to exit this investment in X years?
- Recap: summarize the situation in your own words, including success criteria and relevant context you've clarified

PRO-TIP

BOTG

If it helps, you can remember this acronym for each of the common areas to clarify. Consider B and O to be always necessary. Use your judgment to decide if T or G are relevant

2. Structure approach

- Request a moment to collect your thoughts
- Breakdown relevant issues into component parts, or questions that will collectively answer the client's problem once answered individually
- Organise everything into a MECE* issue tree tailored to the case, typically with 2 or 3 layers. This is your structure
- Present your structure in an organized and clear way, from left to right and top to bottom similar to the pyramid method

PRO-TIP

Use right angles and avoid lists

Structures which use right angles rather than diagonal ones are the most organized. Subsections should be placed in boxes rather than a vertical list. This will allow you to remain organized if adding to your structure later.**

*MECE stands for Mutually Exclusive Collectively Exhaustive. There is no overlap between concepts, yet when put together there are no gaps to solve the overall question

**Examples of these structures can be seen in our Cases section

Your analysis must find the balance between driving to the answer and engaging the interviewer

3. Deep dive analysis

- Ask questions and collect information from your structure, following it in a methodical way.
- Analyse the information provided, making comments about insights you can generate from them and about what could be relevant for the solution
- Make quick calculations mentally, out loud. Approximations may be allowed if asked . Use paper and pen to keep track of your calculations, but not to calculate if possible
- Drive to the answer by proactively suggesting next steps or identifying where new insights may help you solve other questions. If you don't know where to go next, return to your structure. A good one will lead you in the right direction.
- Engage the interviewer as a true consultant. Turn your structure towards them when sharing. Continuously ensure they are on the same page as you. Confirm that they understand and listen to their (often subtle) directions. Never keep your analysis or thinking to yourself.

PRO-TIP

Structure your brainstorming

If asked to brainstorm or provide numerous examples of something, bucket your ideas. This will show the interviewer you are always a structured thinker, you will communicate more clearly, and most important you will know when to stop ideating.

A note on exhibits...

Consider a few initial steps to take upon receiving any exhibit:

1. Take a brief moment to understand what you received. Don't dive into the data or details, but level set what you're looking at.
2. Communicate to the interviewer what you just received . It may sound simple, but interviewers appreciate it. Ex. "Interesting, it looks like we have the largest markets for the clothing industry and growth from those markets."
3. Find and read any footnotes. Many exhibits will include critical information hidden in footnotes to test attention to detail. Don't get caught off guard by one.
4. Articulate the key findings from the exhibit. Consider all exhibits relative to each other. What an exhibit says is far less important than what it means to the overall case problem.

World's largest markets – Clothing Industry
In terms of market growth (in %), 2018 data



Market sizing is a common skill required as a component of your overall analysis

Both methods adhere to a simple 5-step method:

1. State the approach
2. Start with the relevant metric
3. Define buckets for relevant nuance
4. Calculate based on assumptions
5. Sanity check

Top-Down Method

- Starting from the largest relevant figure and reducing it using information which more specifically targets our market

Ex. **“What is the market size for bike rentals in Amsterdam?”**

1. I'd like to take a top-down approach to sizing this market
2. We could start with the population of Amsterdam
3. Given different frequency of bike rentals by age, it makes sense to segment our market into age groups
4. If X bikes are rented each day at Y price, that gives us a total addressable market* of Z
5. Hm, let me just confirm that my assumptions make sense

PRO-TIP

Sensitivity Check

Keep track of your most questionable and impactful assumptions, and communicate to the interviewer where any possible weak spots may exist. If your final market size isn't sufficient, target these assumptions first to fix the problem.

Bottom-Up Method

- Starting from the building blocks of your business (one unit of product, one client served) and scaling those units up for the addressable market

Ex. **“What is the market size for bike rentals in Amsterdam?”**

1. I'd like to take a bottom-up approach to sizing this market
2. We could start with the price of a typical bike rental.
3. Given that some people are likely to rent by the hour and others for longer periods, we should segment our clients
4. If X bikes are rented each day at Y price, that gives us a total addressable market* of Z
5. Hm, let me just confirm that my assumptions make sense

PRO-TIP

Not all methods are equal

While it may be possible to size a market both ways, one of the two is typically more reasonable for a given problem. Consider which ways force you to make the fewest wild assumptions, or which fit best given the data at hand.

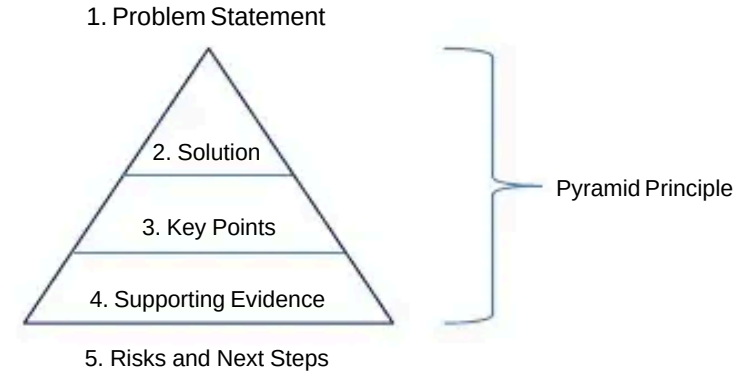
*A firm's 'total addressable market' (TAM) is equivalent to 100% of the market demand, or the market size

Recommendations are often articulated best using the pyramid principle

4. Recommendations

- Take a brief moment to collect everything you have learned during the analysis and prepare to present your conclusion.
- Recap the key question being asked by the client in a single sentence through a problem statement
- Deliver the best solution for your case among the analysed alternatives, and highlight the key points why you chose this solution.
- Provide thoughtful supporting evidence to each key point: be creative, practical and consistent.
- Pressure test your solution by highlighting risks for implementing each of your recommendations
- Suggest next steps if relevant. This is particularly helpful if there are key aspects of your structure that were not addressed throughout the case. Suggest tackling those questions in a further analysis. After all, a good consultant wants to keep the relationship ongoing!

Pyramid Principle is a concept to clearly and concisely deliver information to executives within a recommendation:



Example recommendation:

1. We are here to determine whether your firm should enter into the retail clothing market in China.
2. We recommend that you do enter the market because
3. ...it offers A) significant financial benefits and B) brand opportunities
4. A) Financial benefits come from the market size of \$105B, up from \$31B just ten years ago, as well as the prevalence of low cost production and efficient supplier ecosystems. B) Brand opportunities are clear in your vision to become a global clothing retailer and the access to key client segments which strengthen your firm's shift towards premium branding.
5. We do want to consider some risks involved with the market entry, including regulatory approval from authorities and the competitive response of premium retailers who could drop prices upon our entry. We recommend further analyzing customer willingness-to-pay given various competitive price points as a next step.

Opportunities for questions at the end of an interview cannot be overlooked

The Q&A should be both for them...

- Use the Q&A to show strong points that you felt you didn't have opportunities to show during the interview. It is, again, an opportunity to sell yourself!
- Ask relevant and smart questions that will show your interviewer that you have thought hard about the firm, its future and most importantly how you can contribute
- DON'T waste time asking questions that you can be found online or are likely to get ambiguous answers. You should have been able to find answers for many of these in your pre-interview research

...and for you.

- Use this opportunity to test what you have learned about the firm by asking for specific examples from your interviewer's experience:
 - The firm has a vision – sure. But how does this partner actively carry out that vision? How can you as an associate contribute to it?
 - You've heard about skills development at all levels. But how has that specifically helped this interviewer advance in their career? How do they personally develop younger consultants?
 - All firms have difficult problems to solve. But what keeps your interviewer up at night? What will be the toughest challenge in the firm's immediate future?
- Understand more about the firm's culture. Is it really a good fit for you? Or do you just like the name on the door?

Our bank of BAD fit questions

Too ambiguous

- What is a day in the life of a consultant?
- What makes you different from XYZ firm
- How do you like working here?

No research

- What industries do you work with?
- What is the current strategy for the firm?
- Are there many people from [my school] working here?

INDUSTRY OVERVIEWS



Aeronautical

Overview

Airlines

Product and services

- Passenger transportation (tourist, corporate, ethnic and charter)
- Cargo transportation

Competitive landscape

- Strong competition among carriers (high fixed costs and low marginal costs generate an incentive to pursue growth)
- Low cost carriers putting pressure in overall competition in short and medium-haul markets
- Long-Haul markets dominated by legacy carriers

Engine Manufacturing

Products and services

- Turbojet, Turboprop, Turbofan for mainly military aircraft, small civil aircraft and large civil aircraft respectively
- Commonly also participate in the energy generation turbines market

Competitive landscape

- Consolidated players in a high entry barrier industry
- Airline chooses engine provider but engine developer has to work closely with airframe manufacturer.

Airframe Manufacturing

Products and services

- Civil, military and private aircraft
 - So called C and D (advanced) maintenance checks.
- Competitive landscape
- Boeing and Airbus dominate the short to long-haul segment.
 - Smaller players have an important market share of the regional and express segment (fewer than 130 seats). E.g.: Embraer, Bombardier.
 - Airbus acquired Bombardier in 2018 following US restrictions to Bombardier sales in the US.

Trends

- According to IATA, Airline Industry became profitable in 2015 with ROC surpassing the Cost of Capital
- Cost of jet fuel plays an important role in determining overall industry profitability
- Best ROIC are seen in North America and Europe
- Overall, the industry remains highly leveraged
- Airline market evolving into the point-to-point (rather than hub and spoke) model for long-haul routes
- Further dissection of classes (Basic Economy, Premium Economy etc)
- Asia largest growth market with rising middle class

- Closer relationship to airframe manufacturer as efficiency gains become harder to achieve
- Development of cleaner fuel engines
- Development of quieter engines with each iteration
- Renewed interest in supersonic engine for future civil applications
- Industry moving towards electric propulsion systems
- International regulations are driving fuel efficiency and noise reduction efforts

- Chinese technologic capabilities in aerospace developing at a rapid pace
- Increasing demand for more diverse aircraft as airlines develop air taxis, personal transport
- Rapid growth of the regional/express segment
- Decreased demand for very large long-haul aircraft
- Becoming more vertically integrated to include interiors, engines etc
- Offering more maintenance and warranty products
- Development of large civil aircraft from China, Russia

Drivers

Revenue drivers (customers and channels)

- Passengers revenue (business travelers provide highest margins; economy no significant profit)
- Cargo revenue
- Credit card and hospitality partnerships

Cost drivers

- Fleet (buy, lease, maintain), fuel, crew
- Technology continues to cut costs dramatically
- Airport fees
- Cost of carbon credits

Revenue drivers (customers and channels)

- Sales of equipment to airlines (pax demand growth)
- Sales to governments (military aircraft engines)
- Maintenance of said equipment (growing fleet)

Cost drivers

- R+D (very high paid workforce)
- High tech manufacturing
- Testing
- National and international certifications

Revenue drivers (customers and channels)

- Sales of planes and parts to airlines
- Sales to governments
- Maintenance checks

Cost drivers

- R+D (very high paid workforce)
- High tech manufacturing
- Highly diversified part sourcing
- Testing
- National and international certifications

Automotive

Overview

Product and services: Automotive industry traditionally deals in design, manufacturing, marketing & selling vehicles (Commercial, Passenger, Off the road, etc.). Post-sales it provides the necessary maintenance & components support to the customers. Many car manufacturer also have a financial service (usually to propose leasing services). Nowadays it has invented itself as a service provider wherein it provides not only the product but also the mobility services such as Car2Go to the consumers etc.

Competitive landscape: Owing to high infrastructure and fixed cost, the automotive industry is very competitive and price sensitive. In order to exploit the scale of economies and marginal revenue, OEMs often go in a price war to sell the maximum products. At the same time, barring few cases such as Tesla, most of the organizations sell their product through dealers which make them strong stakeholder and ended up taking a substantial chunk of profit margins. To lower their operating leverage (sensitivity to market fluctuation), they normally outsource the operations. Due to thin margins, a few automobile majors have to wrap up their operations from price-sensitive markets such as India etc. Still, automotive is an industry where many alliances are formed: many manufacturers build cars for competitors (modification of existing model or full development).

Trends

In recent times, the automotive industry has completely transformed. It is no longer an industry selling only traditional products i.e. Automobiles. There are 4 recent trends "CASE" which are going to take over the entire value chain and business models of the automotive Industry.

Connected Vehicles: Device in an automobile which connects to another device within the car/home/data center etc. It includes features such as safety calls, GPS, remote diagnostic, predictive maintenance etc.

Autonomous Vehicles: Self-driving cars. Coupled with shared mobility, autonomous car be an answer to many constraints such as high costs, parking space (Remotely operated vehicle can be parked to a location where there is no space constraint and can be summoned anywhere when needed)

Shared Mobility: Due to complex technologies & regulations and hence cost associated with them, automobile organizations are now looking beyond the product. They are now transforming into service providers with offerings such as vehicle sharing or ride sharing etc.

Electric Vehicles: Though very old in existence (1900s), EVs are the center of discussion in automobile organizations post-Paris Climate change summit. Increased cost, lack of technology & charging infrastructure are a few among many challenges for full electrification. Different business models such as battery ownership, vehicle ownership, charging infrastructure ownership, etc are emerging among OEMs from an EV perspective.

Drivers

Revenue drivers (customers and channels): Traditionally revenues for the automotive sector are driven by features, safety, styling, quality, reliability, fuel efficiency & aftersales services. Nowadays customers are more inclined towards new & green technologies such as connected vehicles, EV, etc. Increased fuel prices and government regulations often disrupt the regular flow of the stream to which OEMs answer the constraints by giving discounts, heavy promotion, financing options, etc.

Cost drivers: Automotive industry is the industry where both fixed costs and variable costs are high. As a general rule of thumb, components cost constitutes 80% of the vehicle cost which in turn gets heavily influenced by steel prices, economic downturn, labor cost. To get immune from labor cost, organizations move towards either low-cost countries or high automation. To keep infrastructure cost low, organizations outsource the operations and to curtail the cost of outsourced operations, they create SRM (supplier relationship management) and deploy different tools such as kaizens, lean, 6-sigma, VSM, etc to increase operational efficiencies. Still outsourcing of final product can only be done in a limited distance as customization is a strong demand, which requires reactivity (hence, small distances).

Banking

Overview

Retail banking: [aka consumer banking] is the typical mass-market banking which manages deposit accounts, such as checking, savings and loan offerings for individuals

Corporate banking: [aka commercial banking] is the equivalent of retail banking for businesses. Includes Transaction Banking, which involves transfer of money for domestic and cross-border payments, professional risk mitigation for international trade and the provision of trust, agency, depository, custody and related services.

Investment banking: First, act as intermediaries between entities that demand capital (e.g. corporations) and those that supply (e.g. investors), facilitated through debt and equity offerings for companies as well as securities underwriting. Second, advise corporations on mergers, acquisitions, restructurings, and other major corporate actions. US banks dominate the industry with a ~60% market share.

Competitive landscape is categorized by the depth and breadth of each firm's products and services [aka "League Tables"]

- Tier 1: JPMorgan, Goldman Sachs, Citi, Morgan Stanley, Bank of America Merrill Lynch
- Tier 2: Deutsche Bank, Barclays, Credit Suisse, HSBC, UBS
- Tier 3: BNP Paribas, SocGen, Nomura

Trends

Retail banking: Digital transformation of processes and customer experience. Investing heavily in mobile centric customer experience. Banks to become more active in blockchain and fintech developments. Real-Time-Payments (RTP) become faster and in high demand. Working to strengthen core new-age defenses (risk function), to improve data management and creating new client engagement models etc

Corporate banking: Global lending to see an upward trajectory, though banks have been adjusting their risk appetite on threats of slowdown and non performing assets

Transaction banking remains a stable source of topline for banks, but trends are moving towards more customized and tailored services for each clients. Increasing competition from Fintech companies, in spaces like funds transfer, custody services and foreign exchange have created causes of concern for the incumbents. Increased use of blockchain, AI and automation is to be expected

Investment banking: After the financial crisis, the recovery of the industry has been steady, with yearly increases in global M&A and capital raising. Regulatory changes around Asset Management from MIFID II in Europe. Geo-political uncertainty with protectionist regimes may weigh on the business. Increasing focus on client customer experience with customized focus products and services. Increased specialization as IBs see large experience gains and relationship capital made from engagements in a given industry. Automation and artificial intelligence for IPO preparation, from scanning client emails to executing post-trade allocation requests

All: There has been a growing trend of regulatory divergence across the globe. Countries and companies deviate on approaches to create growth opportunities

Drivers

Revenue drivers- "Front Office", or revenue generating divisions

Corporate Finance/Investment Banking (IB): Fees for raising capital for clients through debt and equity capital markets, and for advisory services.

Sales and Trading: Buy and sell securities and other financial instruments as an intermediary on behalf of its clients. Revenue generated through fees or positions.

Asset Management: Provide equity, fixed income, money market, and alternative investment products and services to individual and institutional clients.

Cost drivers- "Middle" and "Back Office", or control functions of the bank to support its core businesses, address regulations and manage risk

Research : Provide detailed company and industry research reports and make recommendations on whether to buy, sell, or hold public securities.

R&D: process improvement, outsourcing to low-cost centres, selling off non-core businesses i.e Restructuring, Infrastructure (IT, office buildings) etc

Support: Finance (accounting function), Risk, Legal, Technology, Audit etc

Pay and bonuses to revenue generating employees

Fast-Moving Consumer Goods

Overview

FMCG firms produce and distribute consumer items which need to be replaced often, as opposed to more permanent items like a car, a piece of furniture or a computer. Common examples are food, cigarettes, beverages, cleaning products, clothing, personal care, makeup and other household products. They are mostly purchased through retailers: grocery stores, drug stores and mass merchandisers.

4 Types of Products:

Convenience (routine buy and very little thought into the buying process – ex. toothpaste or laundry detergent); Shopping (require a bit more thought and consideration, are bought less often – ex. clothing); Specialty (unique qualities and brand specific, meaning there are few substitutes); Unsought (those the consumer doesn't know they exist or that they're needed – ex. fire extinguishers or innovative products new on the market).

Competitive landscape –

Highly competitive

Trends

Premiumization: Retailers continue to enter the low-end side of the market. In this industry, distribution is the name of the game.

Data for consumer understanding: While the industry has always been driven by data and analytics, AI continues to become more prevalent. The pursuit of consumer centricity becomes technological

Slow growth leads to M&A, corporate raiders: Large players have begun consolidating in search of new innovation, acquiring new upstart brands who have captured much of the market growth (ex. Unilever acquired Dollar Shave Club after seeing its performances vs. Gillette). Activist investors become more vocal (ex. P&G with Nelson Peltz; Nestlé being forced to split into 3 companies and close their L'Oréal holdings) in search of renewed growth and cost cutting.

Manufacturer-retailer collaborations: Manufacturers to partner on key steps in the distribution chain to fend off pressure from e-commerce, loss of brand-loyalty and small brands gaining terrain. Ex. Vendor Managed Inventory initiative by P&G, which led the way for similar initiatives across the sector

Automation: Talent demand further exceeds supply for manufacturing jobs while wages keep increasing and robot prices are falling.

Online and omnichannel: Growing rapidly in an otherwise slow growing industry. Direct-to-consumer and multi-channel sales have also increased and seen success.

Authenticity, experiences and brand values: Consumers are more socially/environmentally/sustainability aware and using access to information and platforms to voice their perspectives. Betting on wellness seems to be a good strategy (ex. AB InBev investing heavily on non-alcoholic beverages and sustainability).

Drivers

Revenue drivers:

Distribution, market share, overall brand perception, share of shelf, POS presence, trade promotions, penetration and trial.

Including smart capabilities on the packaging might be an avenue for innovation and more engagement and presence (and value added) within the home of consumers (Pernod Ricard created an Internet of Things glass that would collect data on the beverages they use and suggest cocktails, P&G has invested in smart packaging that would order replacement once it's done).

Cost drivers:

Trade promotions are (usually) the second largest item in the P&L of CPG companies. Optimizing this spending might increase profits and competitiveness in the future.

Impact Investing

Overview

Impact Investing in the context of Responsible and Sustainable Investing¹

- Impact Investing is the most intentional way of utilizing capital of pursuing social and/or environmental measurable returns alongside financial returns. Other strategies under the spectrum of capital include mitigating (Responsible Investing) or pursuing (Sustainable Investing) Environmental, Social, and Governance (ESG) opportunities².

Collaborative landscape

- Over 1,340 organizations currently manage \$502 billion USD in impact investing assets worldwide, according to the Sizing of the Market Report from the Global Impact Investing Network (GIIN)³.

Trends⁴

Products:

- Some financing structures that you should be aware of are Mission Related Investments (MRI), Program Related Investments (PRI), Blended Finance, Pay-for-Success Models (eg Social Impact Bonds), and Catalytic Capital.

Tools:

- With regards to impact measurement, you should know about the work of the Impact Management Project and BLab.

Policy:

- Governments are trying to clarify fiduciary duties and establish tax incentives for impact investors and social enterprises.

Drivers⁴

Catalysts

- Investors and consumers around the world are driving momentum for positive changes in our financial and economic systems. Large corporations face pressures to act responsibly towards multiple sets of stakeholders, consumers demand increasing transparency in business practices, and environmentally or socially minded innovators excite investors and consumers alike about a more sustainable future.

Blockages

- Challenges facing the industry include: persistent misperceptions about the nature of investment opportunities, fragmentation in approaches to measuring impact, and limited market infrastructure.

Sources and highly recommended reads

- <https://www.ussif.org/gribasics>
- <https://www.bridgesfundmanagement.com/wp-content/uploads/2017/08/Bridges-Spectrum-of-Capital-screen.pdf>
- https://thegiin.org/assets/Sizing%20the%20Impact%20Investing%20Market_webfile.pdf
- <https://roadmap.thegiin.org/overview/>
- <https://tideline.com/the-alpha-in-impact-white-paper/>

Manufacturing

Overview

Product and services

Large and diverse industry that provides product and services primarily used to produce other goods.

Main subsectors include: industrial automation and machinery, metals, construction and engineering, electrical equipment and components, textile, chemical.

Traditionally B2B business which is capital intensive, highly competitive, and provides low margins.

Competitive landscape

Successful players are those that are able to constantly develop innovative products and processes, that provide a technological improvement or lower cost.

Trends

Industry 4.0: The increased use of IoT (Internet of Things), using sensors and software to connect, monitor and control the production process as well as the introduction of robotic automation in conjunction.

Investments in R&D for new processes, machinery, products are increasingly high, therefore the size of the companies is increasing in order to be able to afford them.

Specialisation is increasing as separation between companies that are focused on process innovation and manufacturing capabilities, as TSMC (semiconductor producer) or Foxconn (electronics assembler), and companies that design the product, like Apple, is increasingly common.

Drivers

Revenue drivers

Product quality and reliability, service to the customer in terms of co-engineering, delivery and after-sales.

Develop long term relationships with key customers through specialisation.

Geographical position of production plants, close to key markets and key customers.

Cost drivers

High volume and capacity saturation are key due to high fixed cost

Raw materials supply and brokerage at competitive cost and supply chain management

OEE (overall equipment efficiency) of production processes to key variable cost (including labour) low

Pharmaceuticals

Overview

Industry

Numbers: Generated 1.1 trillion dollars in revenues in 2017. 48.1% was generated in the US and 18% in Europe. Pharmaceutical sales in oncologic generated USD 81 bn.
Competitive landscape: Top global players are Pfizer, Merck and J&J from the US, Novartis, Roche, Sanofi, Bayer among others in Europe.
High threat of generics mostly in developing countries.
Regulation: One of the most regulated industries, from clinical trials to pricing and commercial activities.

Customers

Physicians: Generate prescriptions
Payers: Health insurance companies who manage the clinical and financial risk of patients.
Government: Public payer, manages the fund of public health systems. Policy maker.
Health Agencies: grants or rejects market authorization of new drugs in a specific country or region. Sometimes they also set the drug's price together with Government
Advocacy Groups: patient organizations that ensure patient rights are respected.
Patients

Internal look

Marketing: Targets physicians to generate prescriptions. Increasingly targets patients in legally possible ways (education or awareness campaigns about diseases, as well as solutions "around the pill" which facilitate drug application)
Market Access: Looks for reimbursement of medicines so that patients receive timely treatment through pricing, health policy, value proposition and health economic strategies.
Medical: scientific liaison with physicians, can inform about «off-label» treatments (R&D plan)
Regulatory: works to get new drug market authorization in the local country/region

Trends

- The US industry is the largest revenue generator, however the Chinese sector has shown the highest growth rates over the previous years.
- Look for alliance with tech companies to do research in precision health, AI and machine learning in order to improve clinical outcomes, reduce resources consumption and avoid under or late diagnosis.

- Patient-centricity. New therapies taking into account patient preferences measured through quality of life questionnaires.
- Health Agencies are taking into account new frameworks based on patient preferences (multicriteria analysis) to approve reimbursement of new drugs.
- "Shift in power in physician-patient relationship" through digital age (emancipated patient)
- Companies focus on becoming a partner and therefore develop solutions "around the pill"

- Increasing relevance of IT given cyber security, data usage and applications focused on improving healthcare outcomes.
- Market Access: Growing rapidly amid sharpening regulations
- Digital: Advancing with the demand for more personalized medicine, but lagging other industries, due in part to duty to monitor and screen all activities for adverse events related to their drugs.

Drivers

Revenue: Patented drugs (approximately 10 years) are usually premium priced.
Cost drivers: developing a successful drug can exceed sometimes USD 2.6 bn. The total R&D cost in the US in 2014 was around USD 53 bn.
Time: it takes 10 to 15 years to take a drug into the market.

Revenue drivers: improve clinical outcomes in order to avoid patient complications and adverse events, which are costly for the payers.
Cost drivers: Payers and governments usually adopt cost containment policies which aim to decrease drug prices or to go for generic or the least innovative alternatives first.

Attractive industry in terms of salary. Very specific industry, most companies look for people with a robust experience behind. However, every time more companies are promoting Leadership Development Programs aiming to attract new eyes to the industry.

Private Equity

Overview

- Composed of funds and investors that directly invest in private companies, funds of funds or engage in buyouts of public companies, resulting in the delisting of public entities.
- Finances companies in all stages of development, from seed to maturity, from traditional economy to infrastructure and real estate. PEs finance their investments with a combination of debt and equity, have an average holding period of 5-7 years to ensure improvements in business and financial health of target companies via restructuring/ turnarounds so that PEs could resell the companies for a profit.
- Leveraged Buyouts (LBOs) – most active segment (approximately 35%); Management Buyouts (MBOs); Distressed Investments; Funds of Funds; Growth Capital

Trends

- Buyouts valuations are at unprecedented high levels and PEs are experiencing lower returns in recent years.
- PE drypowder (uncalled capital) is at record high of \$2 trillion in 2018 which raises concerns with some industry experts suggest a crisis, similar to the one in 2007, is looming.
- Best-positioned firms are adjusting their approach in several ways; win more auctions without overpaying, focus in sectors that are fragmented with growth opportunities and better quantify the opportunity to maximise cash flows.

Drivers

- Attractiveness of industry; past and expected growth (Porter's 5)
- Target company's position in market, past and expected financials.
- Value creation opportunity for company to improve margins and to differentiate itself from competitors?
- Optimal transaction structure, valuation, exit strategy and expected return to make this investment worthwhile?
- Opportunity cost of investment (is there a better investment where money should be spent?)
- Risks of investment e.g Antitrust issues as seen in recent failures including Alstom-Siemens, Deutsche Bank-Commerzbank

Technology

Overview

Software

Product and services – Analyse, develop, test, market and sell software solutions for in-house tech needs or as standalone products with wide industry usage [see Services: AO]
 Software – Work done for clients that are not the intellectual property of the vendor.
 Products – Patented by the vendor and sold in terms of licenses to the users.

Competitive landscape –
 Product firms: SAP, Oracle, Hewlett-Packard, etc
 Software Development: Azure, Salesforce, etc

Services

Applications (AO) – Managing clients' software for them. Includes Software Implementation, putting ERP onto clients' systems or the cloud
 Business Process Outsourcing (BPO) – Taking over non-core processes like HR, Finance etc
 Infrastructure (IO) – Taking over clients' technology needs such as IT support, datacenters

Competitive landscape –
 End to End players: IBM, TCS, Infosys, HP etc
 Consulting/SI players: Accenture, CapGemini
 Infra/Cloud players: AWS, Microsoft, Oracle

Hardware

Storage – Servers to store company data; increasingly cloud storage, accessible online and managed by the provider (note: cloud may be private, public or hybrid). Players: Amazon, Microsoft, Google, IBM
 Mainframes – Massively powerful computing systems to power critical applications such as ERP or large transaction requirements. Players: IBM, CA Technologies
 Personal Computing – Supplying desktops and laptops for personal or professional use. Players: Lenovo, HP, Dell, Apple, Acer, Asus

Trends

Artificial Intelligence - Providing machines the ability to simulate, learn and enact human intelligence.
 Machine Learning - Powerful machine learning algorithms allows tremendous savings in cost and high business growth.
 Microservices Architecture - The break up of monolithic applications into smaller, independently manageable components that can be deployed independently

AO – “Platforms” to automate implementation and management of applications
 BPO – Now redefining processes instead of just overtaking them. Robotic Process Automation now able to automate repeatable processes
 IO – AI to “blueprint” client systems, build models of them, and analyze how/when outages may occur to fix flaws automatically

Cloud platforms now being embedded with AI to improve service, security, efficiency
 Cyber security and privacy are top priorities, particularly in EU following GDPR in 2018
 Software-designed storage (SDS), or storage with software between the storage unit and application held on it, is growing rapidly

Drivers

Revenue drivers:
 Clients: enterprises of all sizes across industries
 Channels: Short-term/long-term contracts, purchases, Subscription models
 Cost drivers:
 Process automation, development and maintenance costs, technologists

Revenue drivers:
 Clients: large enterprises, developed mkts
 Channels: Direct B2B selling, long sales process
 Commercial model: 1-10yr renewable contracts
 Cost drivers:
 R&D, project managers, large outsourcing centers in low-cost countries

Revenue drivers:
 Clients: enterprises of all sizes
 Channels: Partnerships with software/svcs providers who bring clients to storage providers
 Cost drivers:
 Data protection, security, storage, R&D, CapEx

TRAINER

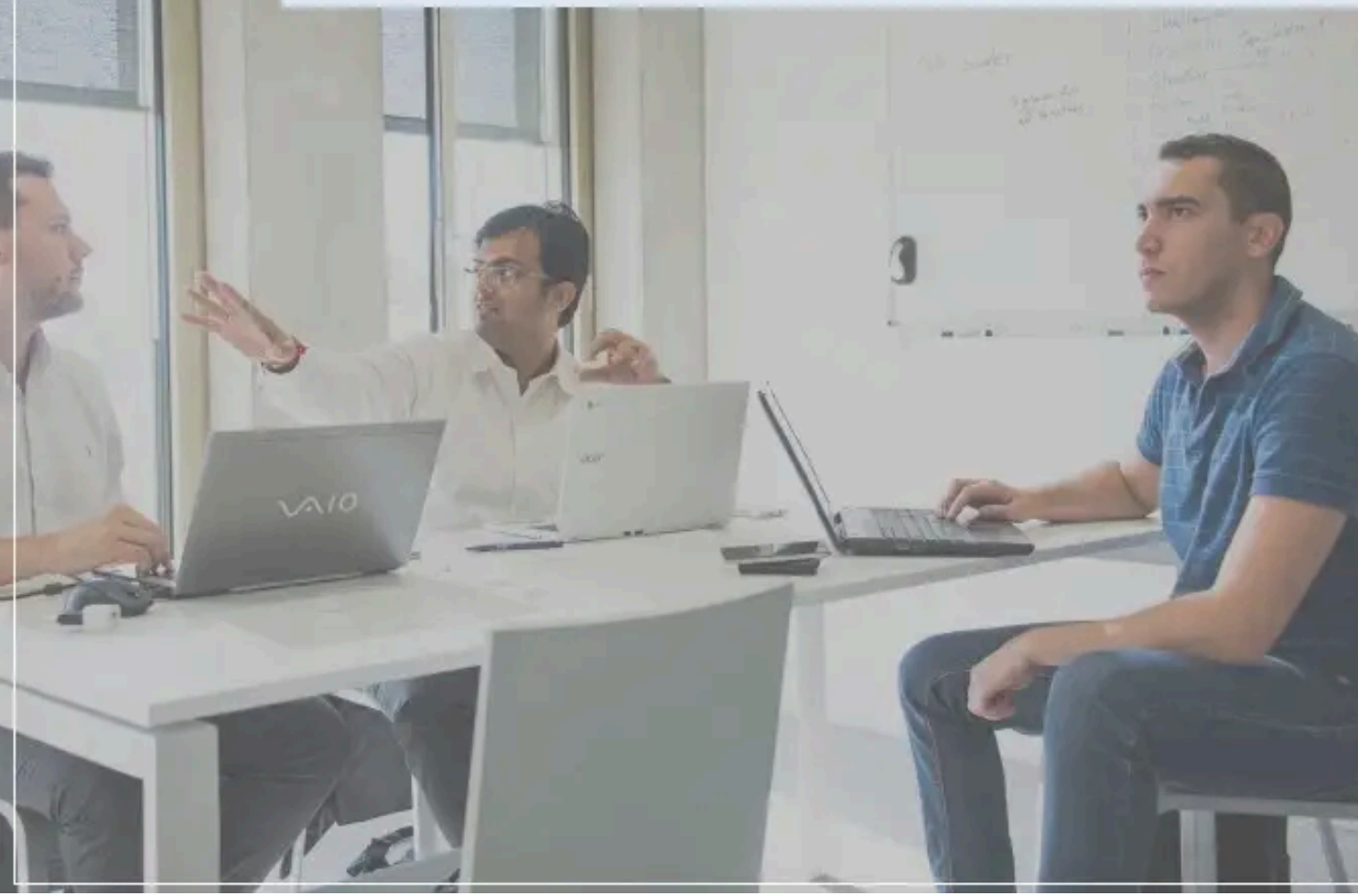


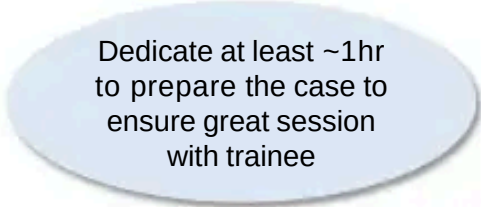
Image:
MBA Study
Rooms

Case trainers should dedicate ~1hr/case for preparation

How to prepare a case as a trainer?

Trainer's preparation checklist

- Choose the right case – one with strong logic, a unique problem and a topic that interests you
- Read case thoroughly
- Identify any possible flaws or errors in the case
- Get comfortable with case flow
- Learn main questions and areas to assess
- Know where to find main figures and stats of the case
- Try to answer the case yourself, predict difficulties or questions likely to arise
- Ideally, provide printouts of exhibits to simulate a real interview



Dedicate at least ~1hr
to prepare the case to
ensure great session
with trainee

A trainer has the flexibility to calibrate case difficulty

Advice: As a trainer you have the flexibility to adapt the flow of the case session

How to facilitate case

- Arrive before meeting time to prepare case and feedback sheet
- Explain meeting format to trainee before starting
- Start with at least one fit question to best simulate a real interview experience.
- Give case prompt
- Cover major parts of case based on suggested case flow
- Actively listen to candidate answers and make it interactive
- Challenge the candidate as per their level
- Take detailed notes on both analysis and communication to provide valuable feedback on performance
- Keep track of time – a case should last between 20-45 min. followed by 10-15 min. feedback

How to calibrate case difficulty

- Ask candidate 'why do you think this data would be useful' when he/she asks for data
- Ask trainee to explain her/his rationale when making an assumption
- Decide whether to provide data or wait for candidate to request it
- Request more ideas on how to solve problem (creativity questions)

Note: we recommend not telling your candidate before hand what type of case will be covered (ex. Profit, M&A).

However it may be helpful to provide a case that is more in the style of a firm the candidate is about to interview with (ex. A shorter 20-25min case for Bain, an industry-specific case for an industry-specific boutique)

Structured feedback is key to learning and performance enhancement of trainees

To embrace



How to provide feedback as a trainer

- Ask the candidate how he/she thought the case went before providing your feedback
- Dedicate at least 10 min. to feedback
- Make it a discussion with the trainee
- Highlight areas where the candidate did well
- Provide feedback on areas that present room for improvement
- Focus discussion and feedback on skills that can apply in other cases, rather than those specific to this case (i.e. transferable skills)
- Suggest ways for the trainee to practice and improve skills

To avoid



What not to do when providing feedback

- Let a case end without providing feedback
- Speak over the trainee
- Focus solely on the case book answers rather than transferable skills
- Lecture the trainee or assume your way is the only way to solve the case
- Be too nice, trying to please trainee by providing only positive feedback
- Be ambiguous about overall performance
- Forget to give feedback to all trainees (group sessions)

An evaluation template can help trainers offer structured feedback

Area	Evaluation Criteria	Score
	Did the candidate...	1 (worst) to 10 (best)
Structure	- Tailor structure to the client's question? - Has at least 2 sublayers in structure? - Develop a structure in 30-45 sec.? - Frame structure as questions? - Develop a MECE structure? - Executive summarize structure before deep diving? - Present structure in ~2 min.?	
Maths	- Walk the trainer through calculations' rationale? - Do calculations properly? - Ask before rounding figures? - Do calculations fast enough? - Stay engaging? - Sanity check results?	
Market Sizing	- Present approach before asking for figures? - Identify all key factors to size the market? - Present 'reasonable' assumptions?	
Creativity	- Show creative judgement? - Embrace client's point of view? - Develop solutions in a structured way?	
Soft Skills	- Present enthusiasm to solve business problem? - Show empathy? 'Carry the monkey' throughout the case? - Show assertiveness, yet no over-confidence?	
Conclusion	- Use a pyramid structure? - Present his/her recommendation in less than a minute? - Executive summarize recommendation? - Present future work and potential risks? - Show some 'selling' skills?	
Comments		Average Score: (out of 10)

Advice: This evaluation grid is not meant to be exhaustive; be flexible and offer tailored feedback based on the case

Note: Cases will also not present all evaluation criteria. Trainer's judgement is advised

TRAINEE



Image:
HEC Paris
Lake

Both soft and hard skills are being assessed during case interviews



 What interviewers might be reflecting upon...

Soft Skills

- Has the candidate the right profile for the job?
- Would she/he embarrass me in front a client?
- How well can the candidate handle pressure?
- How clear the candidate can communicate?
- Is the candidate 'carrying the monkey' and assuming ownership of the problem?
- Is the candidate genuinely interested in the problem?
- Is the candidate listening?
- How would the candidate face an executive?
- Would I spend 6hrs in an airport with this person?

...and what candidates can do to shine during interviews (not exhaustive)

- Listen
- Engage with interviewer
- Focus on end goal, not on mechanisms of cases
- Be genuinely interest in the client's problem
- Show empathy
- Own the problem; don't try to it pass it on to the interviewer
- Don't 'disappear'; make it conversational

Hard Skills

- How structured is the candidate?
- Can the candidate find 'so whats' (i.e., an insight relevant to the case) when presented a chart?
- How comfortable is the candidate dealing with numbers?
- Can she/he show good business acumen?
- How does the candidate react to new information?
- How creative and structured is the candidate when problem solving?

- Use a Mutually Exclusive, Collectively Exhaustive (MECE) structure to solve business question. Structure brainstorming.
- State insights/'so whats' when receiving data
- Benchmark data to identify insights
- Be comfortable with basic math problems (no calculator allowed)
- Lose preconceived assumptions; validate assumptions with interviewers
- Present structure, yet creative thinking

Practice is key for successful interviews

Advice: Use RocketBlocks.me, PrepLounge.com and other online resources to hone your skills

To embrace



How to prepare for consulting interviews

- Case! Just do it. Start early and practice regularly.
- Practice case drills to gain confidence and skill
- Prepare & rehearse answers to fit questions – key for successful interviews in consulting¹
- Train in environments close to a real interview setting
- Train with consultants and former consultants
- Do cases with multiple partners from multiple backgrounds to learn different interviewing styles
- Develop pre-performance routine for a clear mind (e.g., taking a deep breathe, repeating a cue words, rehearsing a sequence of movement²) to reduce stress
- Read FT, The Economist and other business publications to develop basic business knowledge
- Ask yourself business questions about the world around you (e.g., I wonder how this coffee shop makes money?)

To avoid



What to avoid in case preparation

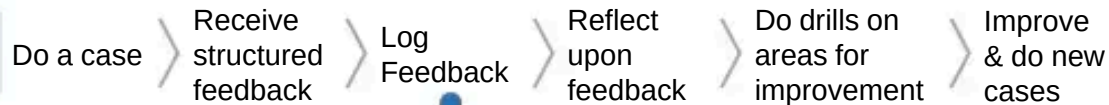
- Spending too much time in passive training
- Not allocating enough time to fit questions and practice
- Casing only with the same people, the same MBA program or the same firm
- Attending only group case sessions, and failing to quickly shift to 1:1 cases
- Using buzzwords (e.g., frameworks, clarifying questions, “this is a market sizing question”)
- Getting attached to canned frameworks (e.g., 4Ps, Porter’s 5 forces, 3Cs, etc.)
- Focusing too much on case solutions instead of developing case skills
- Being too rigid and not tailoring approach to interviewer

¹<https://www.cnbc.com/2018/06/06/how-to-land-a-job-at-mckinsey.html>
Spring 2019 HEC MBA Consulting Club – All Rights Reserved

Note: Access case partners from across HEC and other programs through the 1:1 Case Platform found on the Consulting Club Drive

Creating a case practice log will help you identify and address areas for improvement

Getting better at
Case Interviews



A suggested template to log and track your progress

Case Practice log

Tracking Your Progress

#	Date	Case	Case type	Source	Trainer	Performance (out of 10)	Feedback	
							What did I Do Great?	What Do I Have To Improve For Next Cases?
1	October 4th 2018	SunFurry	Market Entry / Value Sizing	Haas Casebook	John Smith	8	- Used a MECE structure - Shown interest for solving business problem	- Make sure I understand the prompt before structuring my thoughts on how to tackle the case - Engage with the trainer while performing math calculations
2								
3								
4								
5								
...								

NETWORKING



Image:
HEC Paris
Chateau

Networking interviews are an essential steps towards breaking into consulting

Finding the Right People

- Use LinkedIn to assess your own network, identify valuable connections and note gaps
- Identify alumni or key industry contacts whom an HEC student/alum could connect you to
- Leverage the HEC alumni network by getting involved in clubs and events related to consulting
- Meet consultants by attending career fairs, treks and company organized events
- Keep a detailed list of contacts, where you met them, when you last spoke and any memorable information

Getting in Touch

- Clearly indicate to your contact where you met the person or where you got their contact information
- Keep written communications short and to the point. Consider ~1 week before following up on non-responses
- Avoid using jargon or passive language in written communication. Pay attention to avoid written mistakes, such as misspelling the contact's name or retaining information from a separate form note
- Connect first for information, particularly to new contacts. Be patient before asking for any favors.
- Take notes of any initial conversations which could be useful for future discussions
- Be bold, yet professional. You never know who will respond.

Preparing

- Conduct proper background research on the company and the person with whom you will be speaking
- Prepare a list of questions to ask beforehand
- Be prepared to explain in one sentence what you plan to cover on the call. It is likely you will be asked.
- Consider how the unique experience of this person can be informative to you, rather than the fact they work at XYZ firm or in ABC industry.
- Consider how you plan to maintain a professional relationship following the discussion

Connecting

- Be punctual during the interview and follow the time frame agreed in advance
- Dress appropriately if it is face to face or skype interview
- Speak clearly and articulately, from a location that is quiet and with strong reception (if on the phone)
- Take notes and listen. The key here is to learn new information rather than showcase yourself
- Keep the questions structured and organized. Don't jump all over the place
- Indicate how/why you would like to maintain a professional relationship following the discussion
- Send a thank you note within 24 hours. Keep it short and to the point.

Gathering information by asking the right questions is a core skill for a consultant

Useful Questions

- What are some types of projects you have been on while at this firm?
- Why did you decide to choose this firm/industry/geography?
- What have you liked about the job and what has been difficult for you?
- What skills have you needed to learn on your job?
- What do employees look for in a newly joining team member?
- How accessible are different opportunities to grow personally and professionally at the firm?
- How does the recruitment and the interview process differ from other firms you interviewed with?
- How would you describe the culture at your firm and in your specific office?
- Which firms are your competition in the local market and is there specific preferences that clients have?
- How does your firm maintain strong bond with clients over long time?
- How do you stay current in rapidly changing environment?
- How has AI and digital transformation affected client demands?
- What is the biggest challenge facing the firm today? What do you think about the way the firm is addressing this challenge?

Questions to Avoid*

- How is the work-life balance in consulting? Very common question, however it is not a secret that consulting job (especially at the beginning) require long hours and travel
- What is the typical compensation/benefits structure? This may give an impression that you are more self-interested than interested in the job. Consider Vault, Glassdoor or Management Consulted for compensation information.
- How many people work at your firm? What locations does your firm operate in? Super simple questions that can easily be answered by visiting a company website.
- Asking for a referral at the start of the conversation, without building a rapport, or by providing inaccurate information

*Naturally, consider your audience. If you are able to speak with a close peer in consulting, you may be able to ask far more intimate questions

PRACTICE

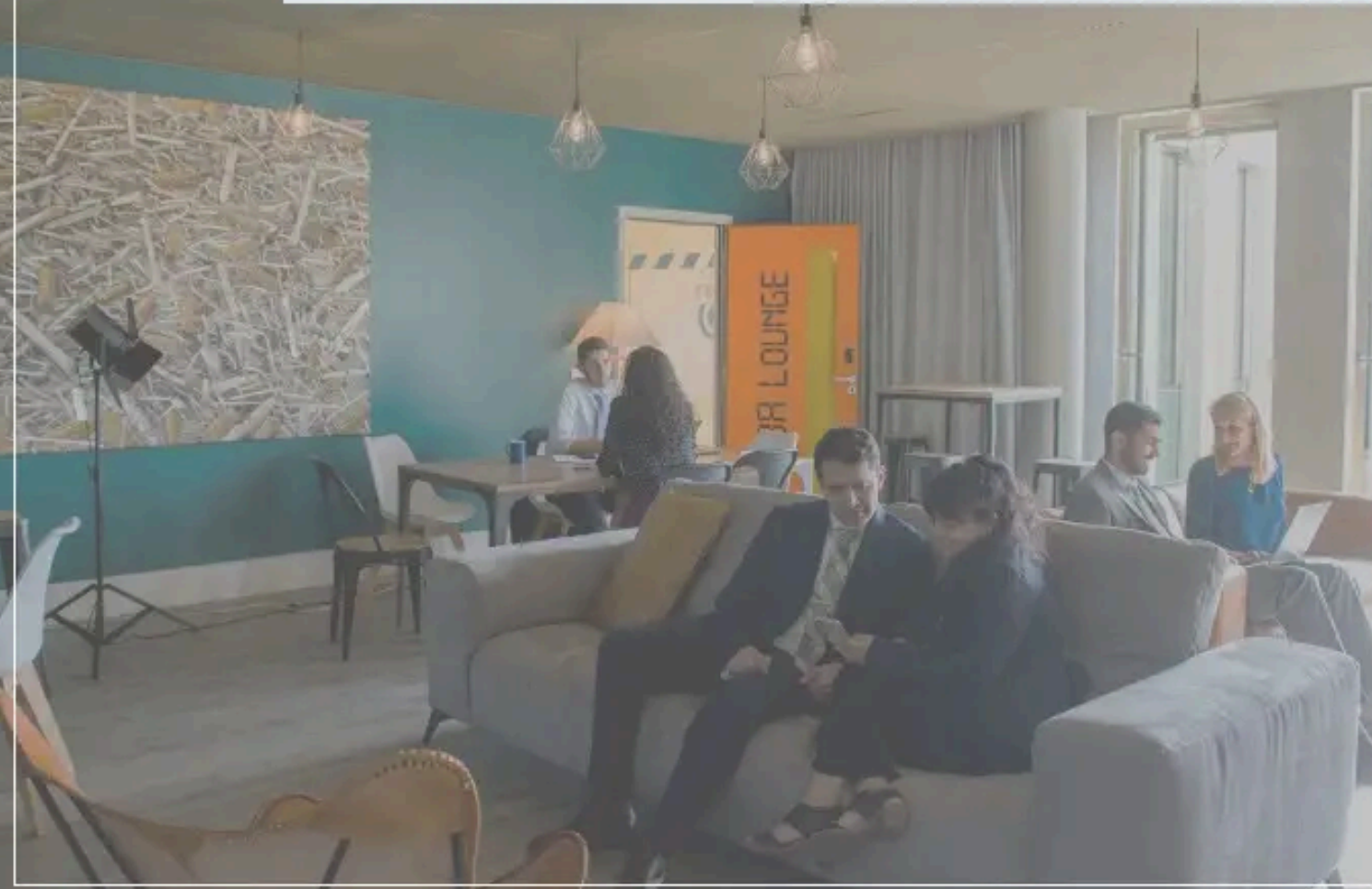


Image:
MBA
Lounge

7 PRACTICE: FIT (1/3)

Reflect upon, prepare and rehearse fit questions

★ KEY IN CONSULTING INTERVIEWS

Category	#	Question
(A) General	1	Tell me about yourself / Discuss your resume
	2	What are your strengths?
	3	What are your weaknesses? What are three things your former manager would like you to improve upon?
	4	Where do you see yourself in five years? Ten years?
	5	Why are you interested in working for us?
	6	4 words to describe yourself
	7	What are your salary requirements?
(B) Consulting ★	8	Why do you want to work in consulting?
	9	Tell me about a time you had to convince someone
	10	Provide an example of a time that you shown leadership skills?
	11	What would you like the most and least about working in the consulting industry?
	12	Tell me more about the kind of consulting you would like to do (e.g., Strategy, Ops, etc.)
	13	Tell me about a personal challenge you overcame
	14	Tell me about the accomplishment you are most proud of
	15	Who are our competitors? How are we different?
	16	Why would you be a good strategist?
	17	What are some of your leadership experiences?
	18	Provide example of work that you done in strategy consulting (or close to)
(C) Preferences	19	Are you willing to travel?
	20	What's your availability?
	21	Would you work holidays/weekends?
	22	Would you work 60+ hours a week?

Advice: Come up with 4-5 good, detailed stories about your professional successes and learning experiences. Pieces of these stories may be applicable across hundreds of fit questions!

7 PRACTICE: FIT (2/3)

Reflect upon, prepare and rehearse fit questions

Advice: Practice answering fit questions in less than 2 minutes and before every case for greater impact!

Category	#	Question	★ KEY IN CONSULTING INTERVIEWS
(D) Situations ★	23	Describe a time when you had to analyze data to create a solution to a problem	
	24	Give me an example of a time when you had to build a relationship with someone. How was the person related to your goals and expected outcomes? What did you do to initiate the relationship building?	
	25	Tell me an example of where you have used analysis to deliver project improvements	
	26	Tell me how you handled a difficult situation	
	27	Tell me about a time when you received a piece of developmental feedback. How did you react and what did you do with this feedback?	
	28	How would you deal with an angry client?	
	29	Give me an example of a situation when you had to cope with great pressure or deliver something on a very tight deadline	
	30	Tell me about a time when you have been faced with dishonest behaviour? What was the situation and what did you do?	
	31	Describe a time where you had to confront a difficult interpersonal situation at work. How did you handle it?	
	32	Tell me about a time when your communication skills made a difference to a situation	
	33	Give me a time when you went above and beyond the requirements for a project	
	34	Can you give me an example of where you collaborated across teams on a project?	
	35	Describe a time where you had to depend on others to complete a task	
	36	Tell me about a time when you worked with a difficult team member. What was the situation and how did you handle it?	
	37	Give a specific example of when you had to handle priorities. How did you meet all of your responsibilities?	
	38	Tell me about a time you delivered exceptional customer service	
	39	Give me an example of where you delivered a change that improved the client experience?	
(E) Last job	40	Why did you leave your past job?	
	41	Why was there a gap in your employment between 2015 and 2016?	
	42	If I called your boss right now and asked him what you could improve on?	
	43	Explain your role at your last job	
	44	Why are you looking for a new job?	

7 PRACTICE: FIT (3/3)

Reflect upon, prepare and rehearse fit questions

Category #	Question
(F) Personal	45 What motivates you?
	46 Why should we hire you?
	47 What is your dream job?
	48 What is your biggest failure?
	49 What makes you uncomfortable?
	50 What are your co-worker pet peeves?
	51 What are your hobbies?
	52 What is your favorite website?
	53 What are your career goals?
	54 What gets you up in the morning?
	55 What was the last book you read for fun?
	56 What questions do you have for me?
	57 Why do you want to work in this office?

A note on what MBB are looking for...

McKinsey & Company

Leadership
How you have led teams to overcome difficult situations. Your perspective on leadership.

Personal Impact
Ability to influence others and drive value. How can you convince people with whom you disagree with?

Entrepreneurial Drive
Self starter and natural tendency towards taking initiative. Able to set and achieve goals.

BCG
The Boston Consulting Group

Motivation
To work at BCG, location, in strategy consulting

Knowledge
Understanding of the consulting market

Personality
Thoughtful and driven personality

Teamwork
Able to work in teams, be collaborative

Openness
To feedback, new experiences

BAIN & COMPANY

Motivation
To work at Bain, location, in strategy consulting

Consultant Skills
Do you have natural tendencies to think like a consultant?

Drive & Achievement
Demonstrated success and a goal-oriented attitude

Passions & Interests
What makes you human? What do you care about outside of work and school?

Create structures which show how to approach these business situations.

Opening Drills

To prompt to trainee

1. You are mandated by the Saudi government. They would like to diversify their economy by moving away from the oil industry and be fully diversified by 2030. How should they approach this issue?
2. Apple has hired your team to define a strategy going forward with the iPad. Sales are plummeting and Apple's market share is shrinking. Should they continue developing hardware updates for the iPad?
3. The French government wants to foster entrepreneurship among its population. What are the options it can explore and how to choose among them?
4. A large newspaper, the LA Times, has hired you to clarify how AI could threaten its business model and if it should embrace the technology to help journalists in article writing. How would you approach this issue?
5. The family owners of housing rental business in North Carolina are worried about the increasing number of hurricanes in the region. Facing this threat, should they close business and move it elsewhere?
6. FIFA is wondering how to approach the future of World Cups to ensure these events be profitable ventures for hosting countries. How would you study this issue?
7. Your client is a large distribution company that would like to know if they should invest in manufacturing capability to reduce time to market. What should be analyzed in order to take this decision?
8. Airbnb is facing higher and higher regulations in most of their market and would like to understand why this is happening and how to tackle this issue best?
9. The partners of a major consultancy wonder if they should raise the partnership buy-in. What should they consider in order to take a decision?
10. Should Nike acquire Adidas?

Advice: Upon reading each opening, try to note down a few clarifying questions and then create 2-3 structures you could use to address each opening

Trainer's corner

Did the candidate...

- ☐ Tailor structure to the client's question?
- ☐ Has at least 2 sublayers in structure?
- ☐ Develop a structure in 30-45 sec.?
- ☐ Frame structure as questions?
- ☐ Develop a MECE structure?
- ☐ Executive summarize structure before deep diving?
- ☐ Present structure in ~2 min.?

Create structures which show how to approach these business situations.

Opening Drills

To prompt to trainee

Advice: Don't focus on answering the question. Rather, define how to approach the situation best.

11. Perrier, a mineral water producer, is witnessing new competition from smaller players on its market. It is now wondering if it should acquire its largest competitor to consolidate its position in the industry. Should they do it?

12. A major publishing house is contemplating crowdsourcing text reviews (instead of performing the activity in-house). How would you analyze this issue?

13. A business school in the US is wondering how it could attract more international students to its MBA program. How should the board of directors approach this business situation?

14. Patagonia, a outdoors clothing manufacturer, is thinking about going public (IPO) to raise fund for a new sustainable initiative. How would you address this question?

15. TO, a large PE firm, is pondering how to best select its next investment. Its partners have hired you to help them solve the issue.

16. Hawaii, a US state consisting of 8 islands in the Pacific ocean, is considering privatizing its beaches and would like to know if they should do it.

17. A large manufacturer of pools is seeing its sales declined. Its management would like to pump-up the sales team. What would you analyze in order to solve the issue?

18. Your client is a bar operator in the beautiful city of Paris and is wondering if they should open a new spot in the small city of Jouy-en-Josas. How should they address this question?

Trainer's corner

Did the candidate...

- ☐ Tailor structure to the client's question?
- ☐ Has at least 2 sublayers in structure?
- ☐ Develop a structure in 30-45 sec.?
- ☐ Frame structure as questions?
- ☐ Develop a MECE structure?
- ☐ Executive summarize structure before deep diving?
- ☐ Present structure in ~2 min.?

7 PRACTICE: DRILLS – OPENING (3/4)

How would you approach these business situations?

Opening Drills

To prompt to trainee

19. Your client is a traditional company in [XYZ] industry. They want to go digital. Which are your suggestions?
20. Your friend's company is about to enter into Chapter 11, what is your advice to him?
21. Do we list on Amazon? Or do we create or enhance our own e-commerce channel?
22. An industrial company has diversified into the growing market for mobile robotics in industries. They would like to understand which industries to target and how to deploy a successful go-to-market strategy
23. A National Oil Co. spends billions on its material and machinery sourcing every year from a global supply chain. They approach you to advise them on how best to optimize this expenditure.
24. A Japanese Industrial sensors company, known for its high quality products, seeks to enter the highly price-sensitive Indian market and achieve rapid growth within a short time (perhaps inorganically). They approach you for advice on how best to go about it.
25. A leading manufacturer of pumps seeks to enter a neighboring country by setting up a local manufacturing facility. How would you help them evaluate the viability of this move?
26. Adidas, the global athletic apparel company, is considering to acquire Strava, a popular fitness app which uses GPS and social networking to offer users a way to track and share their workouts on their smartphones. Should it move forward with the acquisition?

Advice: There are multiple ways to solve any problem. See how many unique structures you can craft instead of relying on frameworks

Trainer's corner

Did the candidate...

- ☐ Tailor structure to the client's question?
- ☐ Has at least 2 sublayers in structure?
- ☐ Develop a structure in 30-45 sec.?
- ☐ Frame structure as questions?
- ☐ Develop a MECE structure?
- ☐ Executive summarize structure before deep diving?
- ☐ Present structure in ~2 min.?

7 PRACTICE: DRILLS – OPENING (4/4)

How would you approach these business situations?

Opening Drills

To prompt to trainee

27. You have decided to quit your high paying consulting job and open your own business. You're now meeting with two partners at a fund investing in start ups and have to convince them to fund your company. How do you go about preparing your pitch?

28. After seeing the success of brands like Keurig and Nespresso, Starbucks is considering offering coffee pods and a proprietary Starbucks brewing system for home use. How should it decide whether or not to do so?

29. Your client offers on-call residential cleaner services throughout the New York Metropolitan area and has decided to enter into Paris, France. Customers set up appointments at least 24-hours in advance for a set amount of time, and the client dispatches a professional cleaner to their home to address whatever needs are specified by the customer. The client has asked you to understand how many cleaners should be hired to commence operations in Paris.

30. Loo-to-You is a recent impact-focused start up with the goal of providing low cost sanitary toilets and weekly cleaning/maintenance services throughout rural India. The company is expected to provide an in-depth report on its profit and social impact to its investors in 1 year from today and needs to impress to receive further funding. How should it prioritize its activities going forward?

31. A worldwide producer and retailer of desktops and laptops is considering purchasing its largest supplier of polarized glass, used to make LCD screens available in each of its computer products. Should it move forward with the acquisition?

32. HECiné is a mid-sized movie theater located in the beautiful locale of Jouy-Sur-Seine near Paris, France. In 2018 it posted a net income of 22M euros, down from last year (25M euros in 2017). Yet, the theater's market share within the Paris Metro area increased by 5%. Please help us understand what is likely happening and consider options to return profit to growth.

Trainer's corner

Did the candidate...

- ☐ Tailor structure to the client's question?
- ☐ Has at least 2 sublayers in structure?
- ☐ Develop a structure in 30-45 sec.?
- ☐ Frame structure as questions?
- ☐ Develop a MECE structure?
- ☐ Executive summarize structure before deep diving?
- ☐ Present structure in ~2 min.?

Can you define an approach to find a ‘good enough’ estimate of the market?

Market Sizing Drills

To prompt to trainee

Advice: Don't focus on answering the question. Rather, focus on approach to defining a ‘good enough’ estimate

Try to define an approach to reach ‘good enough’ estimates of these markets

1. Total value of the chewing gum market in the US
2. Number of smartphones sold in Europe last year
3. Demand for commercial flights from Singapore to Delhi per year
4. Number of commercial printers sold in the US last year
5. Total yearly revenue of management consulting services in Europe
6. Number of PlayStation gaming consoles sold in Europe last year
7. Number of Bloomberg terminals sold in London last year
8. Total demand in terms of revenues for Paris-Rome flights
9. Number of credit card transactions made in Thailand last year
10. Total market value of dog grooming industry in the US
11. How much does a ski lift weigh?
12. How many ghosts are there in Paris?
13. How many steps are taken in the Marathon?

Note: ‘Pure’ sizing like these don't assess business judgment and so should be practiced sparingly. However, consider what clarifying questions must be asked to address these questions.

Trainer's corner

Did the candidate...

- ☐ Present approach before asking for figures?
- ☐ Identify all key factors to size the market?
- ☐ Present ‘reasonable’ assumptions?

7 PRACTICE: DRILLS – MATHS

How efficiently can you solve math questions?

Lesson 1: NO zeros

One of the most common mistakes is to gain or drop zeros when calculating big numbers, like calculating revenue if you have 12,000,000 products sold at \$5,000 each. One Bain consultant says "if I see you writing and counting zeros, I know you're 1) wasting time and 2) going to mess up."

Instead, remember these simple rules:

$$K * K = M$$

$$K * M = B$$

$$M * M = T$$

$$K * B = T$$

1,000 should be written as 1K

1,000,000 should be written as 1M

1,000,000,000 should be written as 1B

Therefore, 12,000,000 products sold at 5,000/each is really...

- $12M * 5K$
- $12 * 5 = 60$
- $M * K = B$
- Answer: 60B

You try:

150,000 * 10,000 =	
20M * 20K =	
5M * 4M =	

Lesson 2: STILL no zeros

Another method for multiplying large numbers without getting lost in a sea of zeros is to rely on the "Base 10" method. Rather than writing letters, you can represent the number 1,000 as 1×10^3 , where the power to which you raise 10 is equivalent to the number of zeros originally found in the figure.

Similarly:

$$500 = 5 \times 10^2$$

$$200,000 = 2 \times 10^5$$

$$9 \text{ billion} = 9 \times 10^9$$

It is therefore helpful to remember the following squares when using Base 10:

Thousands = 3

Hundred thousands = 5

Millions = 6

Billions = 9

When multiplying two figures in Base 10, simply multiply the base numbers and add the squares. For example $4,000 * 12,000,000$ can be calculated as:

$$(4 \times 10^3) * (12 \times 10^6) = 48 \times 10^{(3+6)} = 48 \times 10^9$$

9 = billion, so the answer is 48 billion.

You try:

$(5 \times 10^3) * (3 \times 10^3) =$	
$3M * 11K$	
$14K * 200$	

7 PRACTICE: DRILLS – MATHS

How efficiently can you solve math questions?

Lesson 3: Multiplying

Two key items to cover on multiplication:

1. Know your multiplication tables (at least up to 12)
2. Break up every problem into pieces

We'll assume you can cover Step 1 on your own. For Step 2, break down problems into their component parts. For example:

$56 * 9$
becomes...
 $50 * 9 + 6 * 9$
which equals...
 $450 + 54 = 504$

$$360 * 12 = 360 * 10 + 360 * 2 = 3,600 + 720 = 4,320$$

The longer the problem, the more pieces to break it into. The only real mental strain becomes remembering each of the pieces, the math is never harder than your multiplication tables. For example:

$$117 * 12 = [100*12 + 10*12 + 7 * 12] = [1,200 + 120 + 84] = 1,404$$

You try:

$88 * 3$	
$46 * 14$	
$281 * 64$	
$410 * 20$	

Lesson 4: Dividing

...and two key items to cover on multiplication:

1. Consider memorizing some common, single digit fractions (ex. $1/6 = .17$, $1/9 = .11$)
2. Find your range and break up every problem into pieces

Again we'll leave you to Step 1. For Step 2, what we mean by "find your range" is this:

The problem $219 / 8$ is asking us "what number, multiplied by 8, equals 219?" To set our range, we can start by recognizing that since $8 * 10 = 80$ and $8 * 100 = 800$, the correct answer is between 10 and 100.

Then we can narrow our range knowing that $8 * 20$ is 160 (too small) and $8 * 30$ is 240 (too large). Therefore the answer is between 20 and 30.

If we take $8 * 20 = 160$ and subtract this from 219, we get 59. Therefore our answer is simply $20 + (59 / 8)$.

Since $8 * 7 = 56$, we can safely say the answer is $20 + 7 +$ the remainder $3/8$. In this case, rounding to 27 is a safe bet.

You try:

$87 / 3$	
$320 / 30$	
$590 / 11$	
$4,380 / 19$	

7 PRACTICE: DRILLS – MATHS

How efficiently can you solve math questions?

Lesson 5: Taking percentages of large numbers

Similarly, you'll often need to find an absolute number using a %. Here, the easy percentages are your friends: 1%, 10%, 25% etc

Use 10% to find answers which are divisible by 5. For example:

- 5% of 2M: 5% is really 10% divided by two. So, 5% of 2M is $.2M/2 = .1M = 100K$
- 20% of 15M: 20% is really 10% multiplied by two. So, 20% of 15M is $1.5M * 2 = 3M$

Use 1% for any numbers in between. For example,

- 2% of 500: 2% is $1\% * 2$. So, 2% of 500 is $5 * 2 = 10$
- 26% of 900M: 26% is $25\% + 1\%$. So 26% of 900M is $900 / 4 = 225$, plus 9 = $234M$
- 52% of 40K: 52% is 50% plus $2*1\%$. So 52% of 40,000 is $20,000 + 2*(1\% * 40,000) = 20,000 + 2*400 = 20,000 + 800 = 20,800$

Usually, you'll have to rely on both. For example,

- 11% is $10\% + 1\%$. So, 11% of 300M is $30M + 3M = 33M$
- 6% is $(10\% / 2) + 1\%$. So, 6% of 20K is $2K / 2 = 1K + 1\%*20K = 1K + .2K = 1.2K = 1,200$

You try:

Sales	Profit Margin	Profit
4,900,000,000	5%	
2.7B	10%	
6.1B	6%	
3.3B	11%	
3B	4%	

Lesson 6: Taking percentages of small numbers

Two basic tricks here:

First, remember that X% of Y will always be the same as Y% of X. Therefore, 10% of 50 is the same as 50% of 10.

Second, if you can easily divide the base number into 100, simply divide the % by the number of times the base goes into 100. For example:

- 30% of 50: 50 goes into 100 2 times, and $30/2 = 15$. Therefore, 30% of 50 is 15.

This is even easier for numbers >100, simply multiplying the % by the amount that your base is larger than 100. For example,

- 24% of 250: 250 is 2.5x of 100. Therefore, 24% of 250 is $24*2.5 = 48 + 12 = 60$

Try out the two methods discussed above for numbers <100, and then try it with numbers >100:

You try:

36% of 25 (method 1)	
36% of 25 (method 2)	
15% of 200	
30% of 500	
10% of 250	

7 PRACTICE: DRILLS – MATHS

How efficiently can you solve math questions?

A Note on Mental Math:

Mental math may be the most intimidating and frustrating parts of your case training. In reality, interviewers are not testing your math skills as much as your ability to think analytically when put on the spot. You already have the skills to succeed. Just practice to gain the confidence needed to succeed at any moment.

Math Drills

To prompt to trainee

1. If \$2M of revenue represents 30% market share, what is the total market value?
2. Our marginal cost is \$30 and we are earning a revenue of \$70 per product sold. If our fixed cost is \$700 000, how many units do we have to sell in order to break even?
3. Today, our market share is 85%. If it decreases by 15% next year, what will be our new share of the total market?
4. I earn a total revenue of \$7 600 by selling 13 units. What's my revenue per unit?
5. I sell 15 units at a price of \$14.78/unit. What's my total revenue?
6. My total profits is \$876B and will be divided by 20 000 next year. What's my expected revenue for next year?
7. If my car has a tank capacity of 40 liters and offers a performance of 65km/liter, how many kilometers can I expect to do with a full tank?

Advice: Change figures to adjust difficulty of math drills

Trainer's corner

Did the candidate...

- ☐ Walk the trainer through calculations' rationale?
- ☐ Do calculations properly?
- ☐ Ask before rounding figures?
- ☐ Do calculations fast enough?
- ☐ Stay engaging?
- ☐ Sanity check results?

CASES



Image:
HEC Paris
Lake

Case solutions are indicative; flexibility & creativity are advised

Case difficulty
Found on 1st page of cases

-  EASY
-  MEDIUM
-  HARD

Before starting...

- A case is first and foremost a situation where you're being asked to help someone with a business problem
- Your enthusiasm and creativity are welcomed as business solutions can be solved by embracing multiple solutions
- Therefore, case solutions found in this case book are presented as indicative
- Data is fictional and should not be considered as representative of reality

Happy
training!

Downstream Oil

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

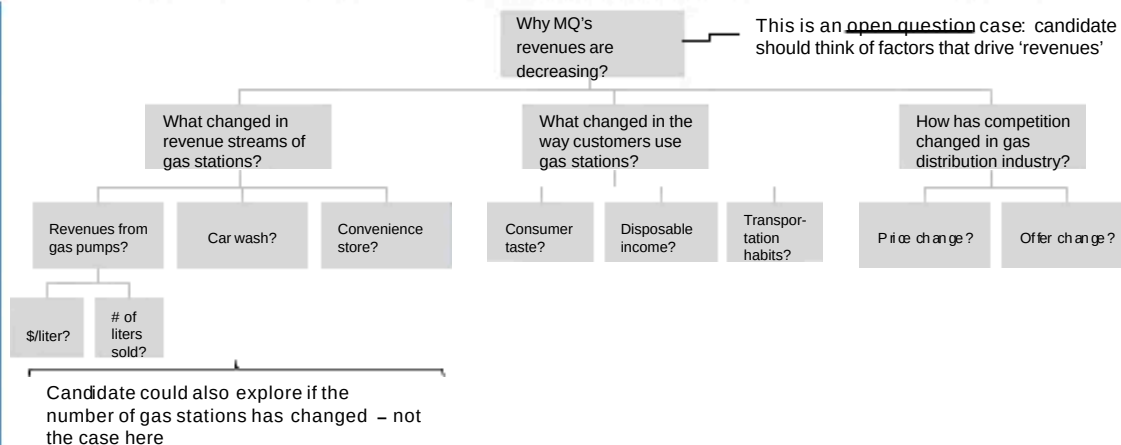
Opening statement

Your client is in the business of oil distribution. The company, MQ, operates in multiple locations across the United States, from Vermont to Hawaii. MQ has been profitable for many decades which allowed it to offer generous employee compensation and benefits. However, tide is now shifting: the company has seen its revenue stumble for the first time last year, a situation that its managers have never experienced before. Hence, the Sales SVP has reached out to you and your team to address the issue. The client is preparing her next steering committee where the situation will be discussed and would like your help to tackle two questions: Why revenues from their core business are decreasing? How can they improve the situation?

Further information

- MQ's core business: Gas stations
- 1500 locations
- Products: gas, car wash, snacks and soft drinks (i.e., through convenience store attached to gas stations)
- Sells directly to consumer
- Only operates gas stations (i.e., value chain not integrated)
- Located across the US but mainly in cities and metropolitan areas
- Typical gas station: gas pumps and convenience stores
- No specific target regarding revenue increase
- Employees are all permanent (i.e., no contractors)

Suggested structure



Downstream Oil

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Market sizing question

The client agrees with your structured approach on how to tackle the issue, but would like a better idea on how big is the current market for gas stations in the US, excluding revenues from snacks, drinks and car wash. How would you help her address this question?

Further information

- US population: 330M
- Average household: 3 people
- Average # of cars: 1/household
- Average tank capacity/car
 - Compact: 50 liters
 - SUV: 100 liters
 - For simplicity, no other type of cars on market
- SUVs: 50% of market
- On average a car does 1000Km/2 weeks
- Efficiency
 - Compact: 1000km/tank
 - SUV: 500km/tank
- Type of gas used + Price
 - Compact: Octane 87 sold at \$0.5/liter
 - SUV: Supreme sold at \$1/liter
- No difference in efficiency between cars riding in metropolitan areas and countryside
- Demand from trucks/boats is excluded
- Our client has a market share of 30%

Bonus points if candidate ask about these variables to refine her/his estimates

Suggested approach

Top-down approach

- US pop: 330M
- Avg. HH: 3 people
- # of HH: 110M
- Avg. # of cars/HH: 1
- # of cars in US: 110M
- Divided in 2 segments: Compacts (50%) and SUVs (50%)
- 55M Compacts & 55M SUVs
- Compacts:
 - Price/liter: \$0.5
 - Avg. tank small car: 50 liters
 - Avg. consumption: 1000Km/2 weeks (50 weeks/yr. is OK)
 - Efficiency: 1000km/tank
- SUV:
 - Price/liter: \$1
 - Avg. tank: 100 liters
 - Avg. consumption: 1000Km/2 weeks (50 weeks/yr. is OK)
 - Efficiency: 500km/tank

\$309B/yr.
(\$34 375M - Compacts
\$275 000M - SUV)

Most important is not the final answer but **candidate's** approach to define size of market

Bonus question

What's the **total revenue** of our client if it has a 30% market share?

Answer

\$92.7B

Downstream Oil

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Chart question

The size of the market of gas in the US is indeed impressive. Your client knows that gas stations have also other ways to generate revenues and has just received some historical data and projections on their different revenue streams. She provided you with the following chart (present next page's chart to trainee). Based on what you see here, what can you conclude?

Further information

- Car wash revenues peaked in 2016 as a national study showed that good maintenance of car could increase its resale value
- Convenience store revenues in absolute terms are not growing - they are quite stable
- The retail price of gas is decreasing from 2012 and on. However, the demand for gas in volume is stable
- Footnote: other revenue source = electric charging service (provide 2nd chart if requested)
- Few players are acting on the electric charging market
- Gas stations are operating in a highly fragmented and commoditized market

Insights from chart

1st chart

- Convenience store: largest part of revenues (2/3rds)
- Gas: smallest part of revenues. However, this product is acting as a loss leader and is important for the business (i.e., customers coming for gas but also buying candies, soft drinks, etc.)
- Footnote: other revenues are not to neglect
- Revenues are in relative figures and not in absolute terms; be careful when interpreting

2nd chart

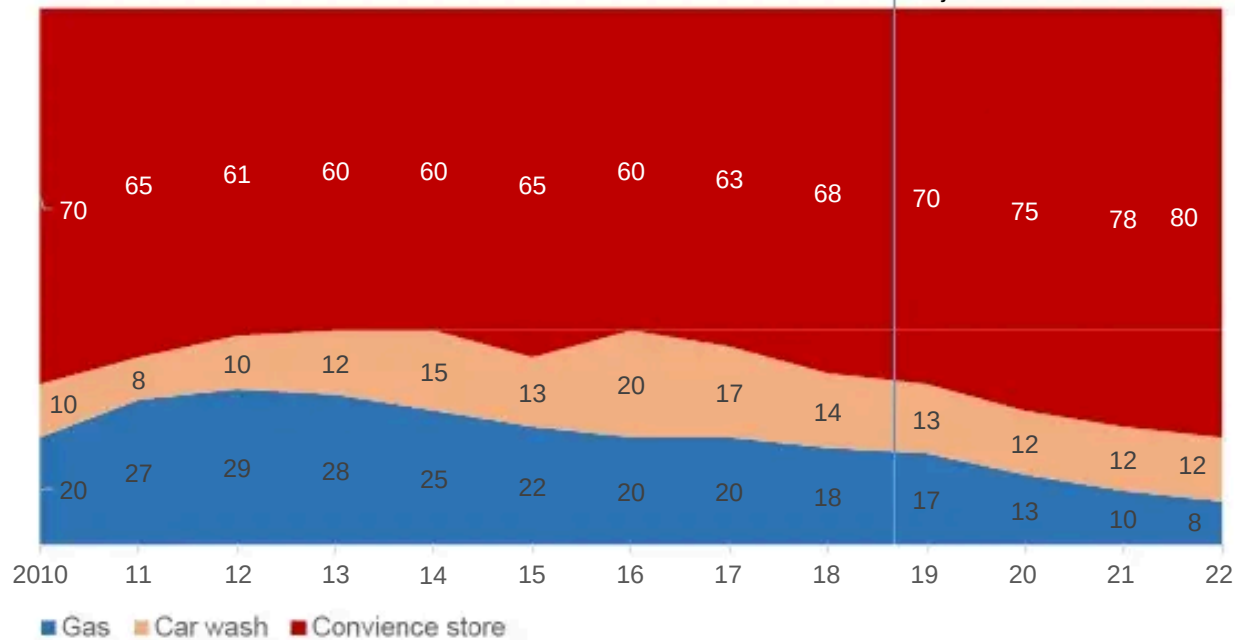
- Electric charging is a new revenue stream potential
- However, implementing electric charges in current gas stations might require new capabilities

Downstream Oil

Gas stations revenue streams

Actual and expected ¹, in % - Total stack = 100%

Projections

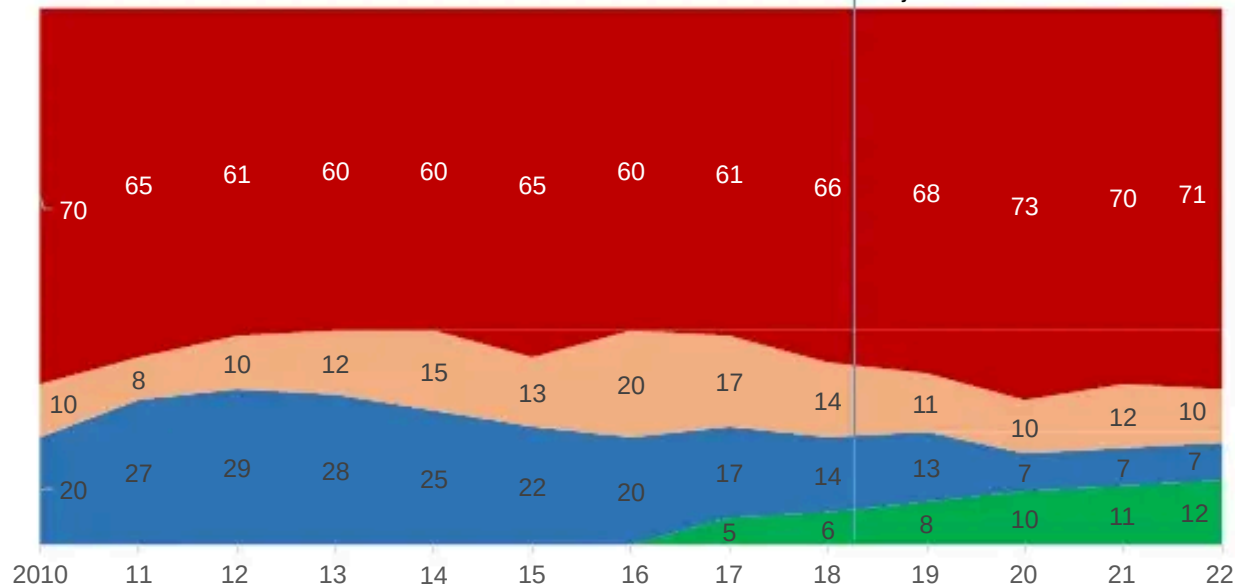
¹Total revenue is expected to grow from other revenue sources not represented

Downstream Oil

Gas stations revenue streams – Including other revenue sources

Actual and expected, in % - Total stack = 100%

Projections



Downstream Oil

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Creativity question

Additionally, your client has learned from a recent survey that customer satisfaction towards gas stations is shrinking rapidly. How would you improve customer satisfaction in this business?

Suggested answered

- Lower prices
- Faster service
 - Reduction of bottlenecks and wait lines at gas stations
- Full-service: no need to get out of car
- 'Uber-like' service for gas
- At home gas delivery
- Etc.

Creativity is expected here. In order to get points here, trainee has to provide answers that are creative and **embracing customer's point of view**

Conclusion

The SVP of Sales is meeting with the SteerCo in 3 minutes and would like your brief on what to do to tackle the issue. It light of what you have learnt, what do you recommend?

Suggested answered

- This case is open ended (no precise answer suggested)
- Candidate's recommendation has to be structured and based on factual data provided in the case

Bonus points for creative solutions

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Opening statement

Elizabeth & Co, generally known as “Eli & Co”, is a major consultancy operating worldwide. Recently, the company has been facing increasing competition from players such as Accenture, the Big 4 and Roland Berger going directly after its core business. In order to preserve its dominant position in the consulting industry, partners of Elizabeth & Co are wondering if they should acquire another firm. More precisely, the company is contemplating the takeover of PSG Consulting. Therefore, your team has been called in to address this pressing issue: should Eli & Co acquire PSG consulting?

Further information

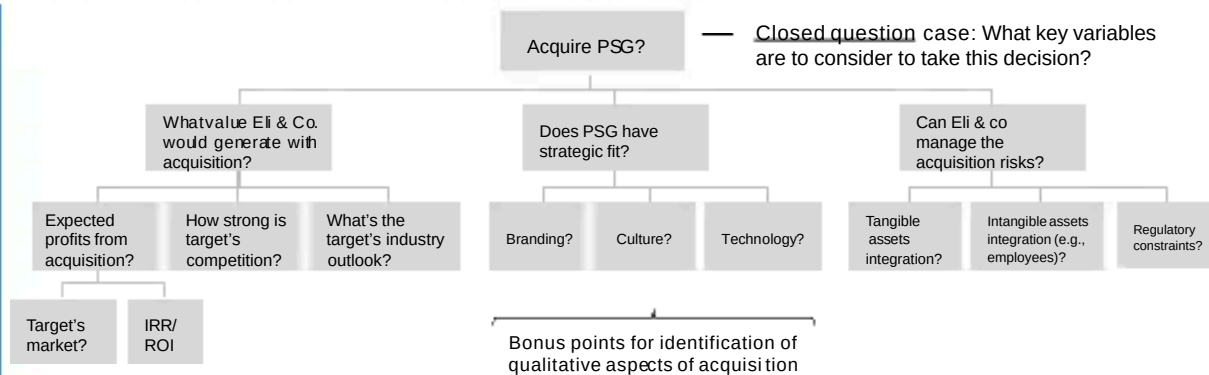
Eli & Co

- Core business: Strategy consulting (100% of its revenues)
- Weighted Average Cost of Capital (WACC): 15%
- Specialized in non-IT consulting
- Rely mostly on 2 major clients in the banking sector (90% of revenues come from these clients)
- 1 000 employees
- Culture: Achievement oriented
- Operating worldwide
- Limited partnership ownership structure

PSG Consulting

- Core business: Implementation of business transformations – representing 66% of topline
- Growing business
- Specialized in non-IT consulting, but has IT capabilities
- 300 employees
- Multiple clients
- Culture: focused on client satisfaction
- Operating in Germany only
- Publicly traded company

Suggested structure



Consultancy

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Valuation question

Interesting, now let's take a look at PSG's financial position. Solely based on a financial perspective, what would be the value of the company?

Suggested insights

- B/S
 - Company is highly leveraged
 - High accounts receivables (current payment terms for clients are extremely generous)
 - Has a patent pending on a innovative transformation implementation approach
- P&L
 - Profitable business
 - High cost of services sold - 70% of revenues (i.e., high salaries of consultants)
 - Topline is growing 10%/yr.
- CFS
 - Company is generating good free cash flows
 - Debt is weighting high in cash outflows
- Value of PSG Consulting: \$260-280M
 - 10% growth rate – can be assumed to growth at this rate for the foreseeable future
 - WACC: 15%
 - Eli & Co wants to use a 'football field valuation' (i.e., defining a valuation range by combining methods) to value PSG:
 - (1) Actualized FCF method
 - Current FCF: \$14M
 - Consider the company will last and grow forever (perpetuity)
 - $14M / (15\% - 10\%) = \$280M$
 - (2) Comparables method (comps)
 - Comps trading at 14.4x EBITDA
 - Value = $18M * 14.4 = \sim \$260M$
 - PSG is trading at a discount
 - Alternative (and acceptable) solution:
 - EV = Market value of Equity + Net Debt
 - $(180M + 74M - 16M = \$238M)$

Chart question

The client has just shared with us some insights on PSG (prompt staked column chart to trainee). What can you conclude from this chart?

Suggested insights

- Target company offers a potential for diversification
 - Multi-sectors
 - Not concentrated in financial services as Eli & Co

} Bonus points if trainee identifies potential integration risks related to diversification

Consultancy

PSG Consulting Financial Statements

Simplified Balance Sheet

All figures in \$M

2018A

Assets

Cash and balances 16

Accounts receivables 98

Other assets 18

Fixed assets 15

Total Assets 147**Liabilities & Equity**

Accounts payables 66

Long term debt 74

Equity 6

Retained earnings 1

Total Liabilities & Equity 147**Simplified P&L**

All figures in \$M

2018A

2019E

Revenues

90 99

Cost of good sold 63 69.3

SG&A 9 9.9

EBITDA 18 19.8

EBIT 17 18.9

Interest 4 3

Taxes 1 1

Net income 12 14.9**Simplified CFS**

All figures in \$M

2018A

Cash from operating 18

Cash from investing (4)

Free cash flow 14

Cash from financing (10)

Change in cash 4

Closing cash balance 16

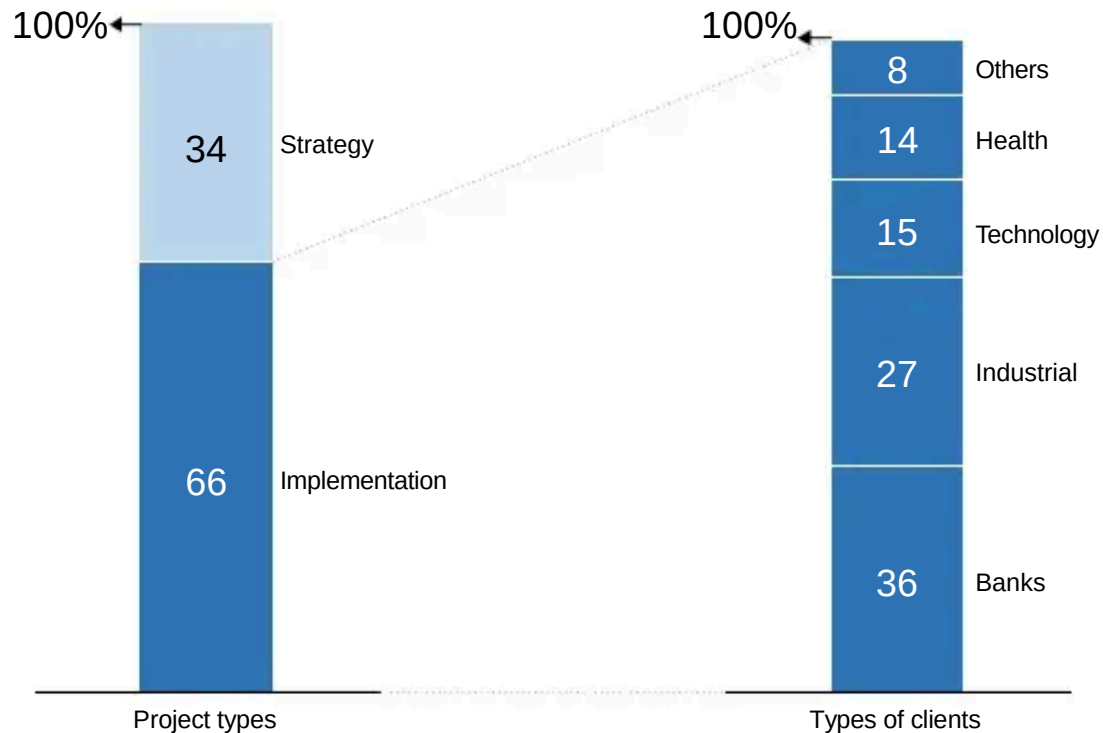
Note 1: Other assets include patents pending on proprietary implementation approach

Note 2: Current market value of equity = \$180M

Consultancy

PSG Consulting's revenues detailed

In % of revenues



Consultancy

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Conclusion

So, what do you think Eli & Co should do?

Suggested
answered

- "I addressed the following question: Should Elizabeth & Co buy PSG Consulting?
- My recommendation is: buy the company
- For 3 reasons
 - Financial: Revenues are growing at a 10% rate and present profitability
 - Diversification: Acquiring PSG would allow your company to diversify your client base and unlock cross-selling opportunities (e.g., selling strategy and transformation implementation projects to the same client)
 - Fit: PSG's culture is 'client centered' and Eli & Co defines itself as 'achievement oriented'. Both cultures are compatible
- However, there are some risks to mitigate if the client proceeds with the acquisition
 - Target company is publicly traded and Eli & Co might have to pay a high premium to acquire PSG
 - PSG is highly leveraged and financing might be an issue
 - Company is trading at a high multiple of EBITDA, be careful of overvaluation
 - Integration might be difficult as the PSG's activities are much more diversified than Eli's"

Indicative answer.
Bonus points if
trainee combines
both quantitative
and qualitative
rationale for or
against the
acquisition

Clothing retailer

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Opening statement

Benedict, a thriving clothing retailer in Canada is pondering international expansion. "Where to go next?" is often heard in executive talks. However, these discussions usually comes with tactical concerns on how would to go about the expansion. More precisely, Benedict's management team is puzzled about distribution questions such as if a new market entry should be realized through online, brick and mortar stores or both distribution networks. You just have been mandated by **Benedict's** managers to bring clarity to these questions.

Further information

Benedict's situation

- Strong brand equity locally but not internationally
- Focused on long term growth
- Privately owned (i.e., not a publicly traded company)
- Management is typically risk averse to large investments
- Has a network of stores and an online shop
- Currently 60% of sales come from retail and 40% online
- Company offers clothes for men and women
- Revenue distribution: 66% women, 34% men
- Women spend 3x as much on clothes than men do in Canada

Suggested structure

Option selection case: a matrix structure can help compare options among them and choose best one

	What would generate more growth?	What has the highest implementation cost?	Where do customer prefer to shop?	What would allow for competitive advantage on market?	What is closer to the company's core capabilities?
Retail					
Online					
Both					

Note: at this point, no information is shared on countries that the company is considering for international expansion

Clothing retailer

Trainer's guide

TO PROMPT

TO PROVIDE IF REQUESTED

SUGGESTED SOLUTIONS

Chart analysis

Prompt 1st chart to trainee. Based on this chart, what can you conclude?
If trainee has interest in learning more about 'high growth' markets, prompt 2nd chart.

Further information

- Australian market is highly fragmented with high number of low-cost retail players in the clothing industry
- US presents slow growth even if a large market
- American, Chinese & Russian governments are contemplating imposing tariff to foreign companies operating in their market
- In Chile, mostly men shop for clothes (66% of sales)
- In Australia, about 75% of revenues of clothing companies come from women
- Brazilian market presents high degree of political uncertainty

Suggested insights

Chart 1

- Market is divided in 4 types of countries:
 - Booming (+10% growth):
 - Russia, China, Brazil, Chile and Australia
 - Solid growth (5-10% growth):
 - Canada, France, Germany, Sweden and Norway
 - Slow growth:
 - Saudi Arabia,, India, US and Finland
 - Undocumented:
 - All other countries

Chart 2

- Chileans prefer to shop in stores, as Chinese
- Brazilian market is 'stuck in the middle' with about half of the population preferring to shop online (slight preference for online)
- Australian and Russians are keen on online shopping with more than 70% of their population embracing this way of buying clothes

Clothing retailer

World's largest markets – Clothing Industry

In terms of market growth (in %), 2018 data



Clothing retailer

Customer preference in ways of shopping for clothes

% of customer preferring to shop in retail stores, 2018 data



Clothing retailer

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Market sizing

Your client is leaning towards Australia for expansion as this market is growing, resembles the Canadian market and would require less upfront investment (based on management's first analysis). Before expanding, management would an assessment on the size of Australian's market. Could you size the market for clothes in Australia ?

Suggested approach

Top-down approach

- Aussie population: 24M
- Life expectancy: 80y
- Age distributed evenly (in 4 groups – 6M/group)
- Men 50% vs. women 50% of population
- Average spent on clothes
 - Men (12M):
 - 0-20: \$25/mo. * 12 mo. * 3M people
 - 20-40: \$50/mo. * 12 mo. * 3M people
 - 40-60: \$100/mo. * 12 mo. * 3M people
 - 60-80: \$50/mo. * 12 mo. * 3M people
 - Women (12M) Spending 3x as much as men
 - 0-20: \$75/mo. * 12 mo. * 3M people
 - 20-40: \$150/mo. * 12 mo. * 3M people
 - 40-60: \$300/mo. * 12 mo. * 3M people
 - 60-80: \$50/mo. * 12 mo. * 3M people

\$~29B/yr.

Spent in
Clothing in
Australian market

Most important is
not the final
answer but
candidate's
approach to find
answer

Bonus question

Recent study shows that they could capture a 15% market share. What would be their total revenue under this scenario?

Answer

\$~4.35B

Conclusion

Benedict's management team would like to know if they should move ahead with their international venture. The managers are meeting next week to go define what to do next. Based on your analysis, what is the best move for the company in terms of international expansion?

Suggested Answer

- Enter Australian market through an online store
 - 3 reasons
 - Similarity with Canadian market in terms of size and demand
 - Thriving market with a +10% annual growth
 - Low capital required in order to enter market through online store
- Nevertheless, the company has to be mindful of risks associated with entering a new market. For example:
 - High competition from low-cost brands already present on the market

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

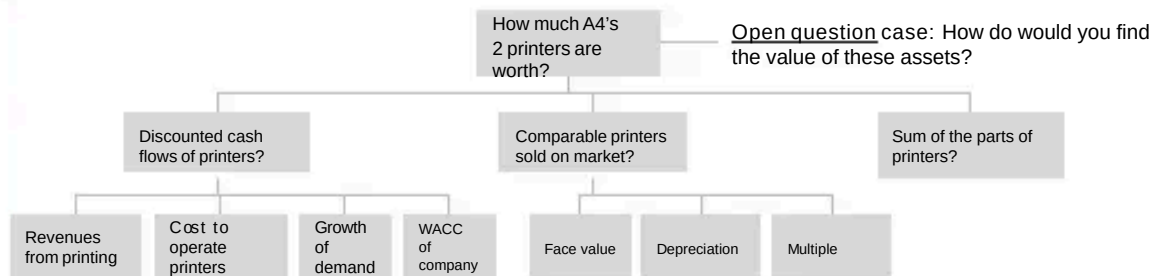
Opening statement

Your team has been mandated to advise a printing company called A4. A4 is specialized in printing encyclopedias. The market for encyclopedias is pretty standardized and mature. Three types of printers are used to print the end product: custom, standard and industrial. Printers' output is similar regardless of type, but 'custom' printers allow for greater flexibility on end product. A4's sole owner has seen an incalculable number of pages being printed in his lifetime and now retirement is looming. In this context, he would like to sell his 2 standard printers and has asked for the help of your team to value these assets.

Further information

- Only 1 kind product printed by the company: encyclopedias
- Value chain not integrated (i.e., not part of a publishing house)
- Encyclopedias are standardized on this market and there is no difference between offering from printing companies
- Clients' printers are fully depreciated
- The 3 kinds of printers can only print 1 type of encyclopedia
- Printers only differ on capacity and cost (see below)
- Printing capacity:
 - Custom: 200 pages/week
 - Standard: 400 pages/week
 - Industrial: 600 pages/week
- Cost to operate
 - Custom: \$1 000/encyclopedia
 - Standard: \$500/encyclopedia
 - Industrial: \$250/encyclopedia
- A month has 4 weeks
- Number of printers on market
 - Custom: 100
 - Standard: 200
 - Industrial: 400
- 1 encyclopedia has 1 200 pages
- Costs of operations: paper, ink and electricity to run machines
- Demand: 1 000 encyclopedias/month
- No information on price charged to clients
- Market is decreasing 10% a yr. because of paperless trend
- Client would like to use discounted cash flows method to value his assets
- WACC of company (Weighted Average Cost of Capital) = 5%

Suggested structure



Printing Co

Trainer's guide

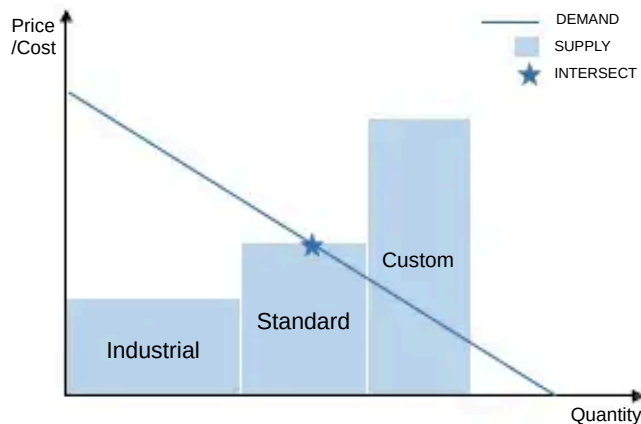
- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Valuation

Calculate the value of the printers according to the method privileged by the client.

Further information

- No information is available in terms of price/encyclopedia charge to clients
- The product offered by the company is a commodity
- Most efficient players will win on this market (i.e., players with the lowest marginal cost will produce first until capacity is reached, then 2nd most efficient will operate, and so on and so forth)
- To solve this question, trainee has to use economics theories about competitive market. See below for a graphical representation of the answer.



Suggested Answer

- Trainee has to understand that most efficient suppliers will produce first (i.e., industrial printers)
- Only part of 'standard' printers will produce on this market (demand < capacity)
- Custom printers are not operating in this market since not efficient enough
- Since the market is competitive, there is uncertainty about which 'standard' printers will produce
- Therefore, which 'standard' printers is producing will be defined by lowest offered price (i.e., because of competitive dynamics marginal cost will be = price)
- Hence, $\text{Marginal Revenue} - \text{Marginal cost} / (\text{WACC} - \text{Growth}) = 500 - 500 / 5\% - (10\%) = 0$
- Both printers have no value when using DCF method

Printing Co

Trainer's guide

TO PROMPT

TO PROVIDE IF REQUESTED

SUGGESTED SOLUTIONS

Creativity question

Interesting analysis. Do you think our client could find a way to differentiate his offer and generate other revenue streams from printers? If so, how?

Suggested answer

- Offer better financing solutions to clients
- Print on new type of paper (e.g., high quality paper)
- Reduce time to deliver by placing facilities closer to end-client
- Reduce shipping costs

Most important is to define creative solutions to the clients situations. Additionally, the trainee has to try to answer this question in a structured way

Conclusion

To conclude, based on what you know, what is the value of the 2 printers?

Suggested answer

- The printers valued is 0 for 3 reasons
 - Discounted cash flow = 0
 - Declining market at a rate of -10%/year in terms of revenues
 - Low potential to differentiate from competitors with current assets
- However, there might be residual value of assets by selling parts of printers part by part
- If I had more time, I would have analyzed how to value parts of printers

Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Opening statement

Gretzky State University, GSU, is a graduate school operating in sunny New Mexico. Its beautiful campus attracts students from all over the United States. Today, the school's revenues are growing but at a slower pace than it did before. In the eyes of GSU's board, this can be explained by the saturation of the American market in terms of grad school offering.

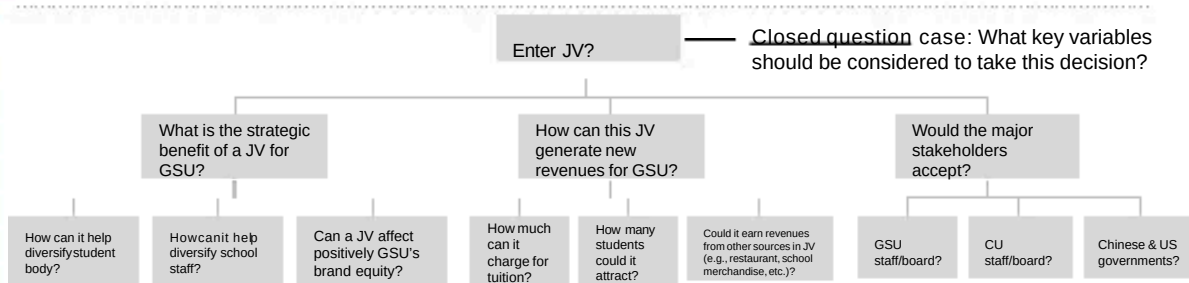
Consequently, Gretzky State is looking to diversify its activities and would like to capture new income opportunities. International expansion is the favored option by the board. In this context, the Dean of the institution has just approached Chinese University, CU, a school that is in the process of creating a new campus in China and that is actively looking for a business partner for this project. In this context, CU has offered a joint venture deal to the Dean of GSU where both players would have equal equity in the project. Do you think GSU should enter this partnership?

Further information

GSU's Profile CU's Profile

- Entering a joint venture (JV) is new for GSU
- The board supports the joint venture but most of school's staff don't
- Strong brand equity as GSU was founded in 1850 and is always highly ranked in national rankings
- Offers only Masters of Art degrees (1 campus)
- GSU has increasing concerns about the homogeneity of its student body and staff; would like to increase diversity to improve ranking internationally
- Average tuition: \$100K/yr.
- 2 000 students
- Goal of JV: Diversify student body/staff + generate new revenue streams (no concerns about costs)
- Currently operates in 10 different markets (10 campuses) and has experience in opening new locations
- Offers Law and Business degrees
- Brand image of school is still to develop
- Average tuition: \$83K/yr.
- 9 000 students
- The current school staff is sceptic about the JV
- Goal of JV: Gain brand equity by capitalizing on GSU's branding

Suggested structure



Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Charts questions

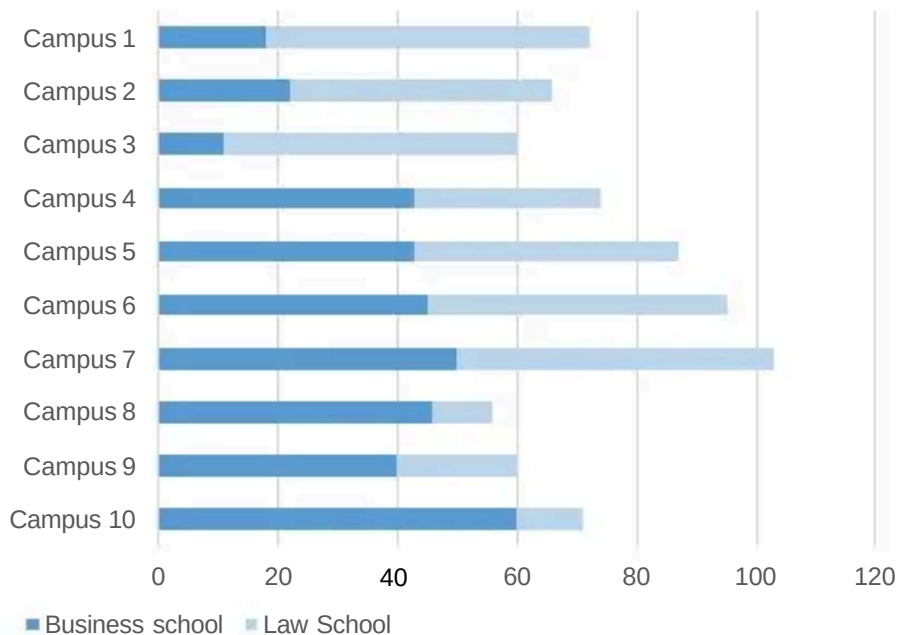
In the due diligence process, GSU has managed to obtain information on CU's current revenues and student body profile. What can you conclude for analyzing these charts? Prompt 2 charts to trainee.

Suggested Insights

- 9 000 students spread across 10 campuses; the school is larger in terms of number of students than GSU
- Low income students have an incentive to graduate (\$10K check upon graduation)
- CU has also an incentive to graduate low income students (\$17K upon graduation)
- No correlation between financial background and probability of graduating - could be related to the government's program
- The candidate should be able to identify 3 markets:
 - 1 concentrated in Business school with little Law school revenues (campuses 8, 9 and 10)
 - 1 concentrated in Law school with little business revenues (campuses 1, 2 and 3)
 - 1 equally diversified generating the most revenues (Campuses 5, 6 and 7)
- The diversified market offers the highest revenues since it attracts mostly people from low income background (one potential explanation)
- Offering Business and Law degrees in China would increase diversity of student body for GSU
- Offering an equal mix of Business and Law degrees would be a way to maximize revenues from joint venture

School

Revenues generated by CU
\$M by campus, 2018 data



Financial background of
CU's graduate students
In thousands, 2018 data

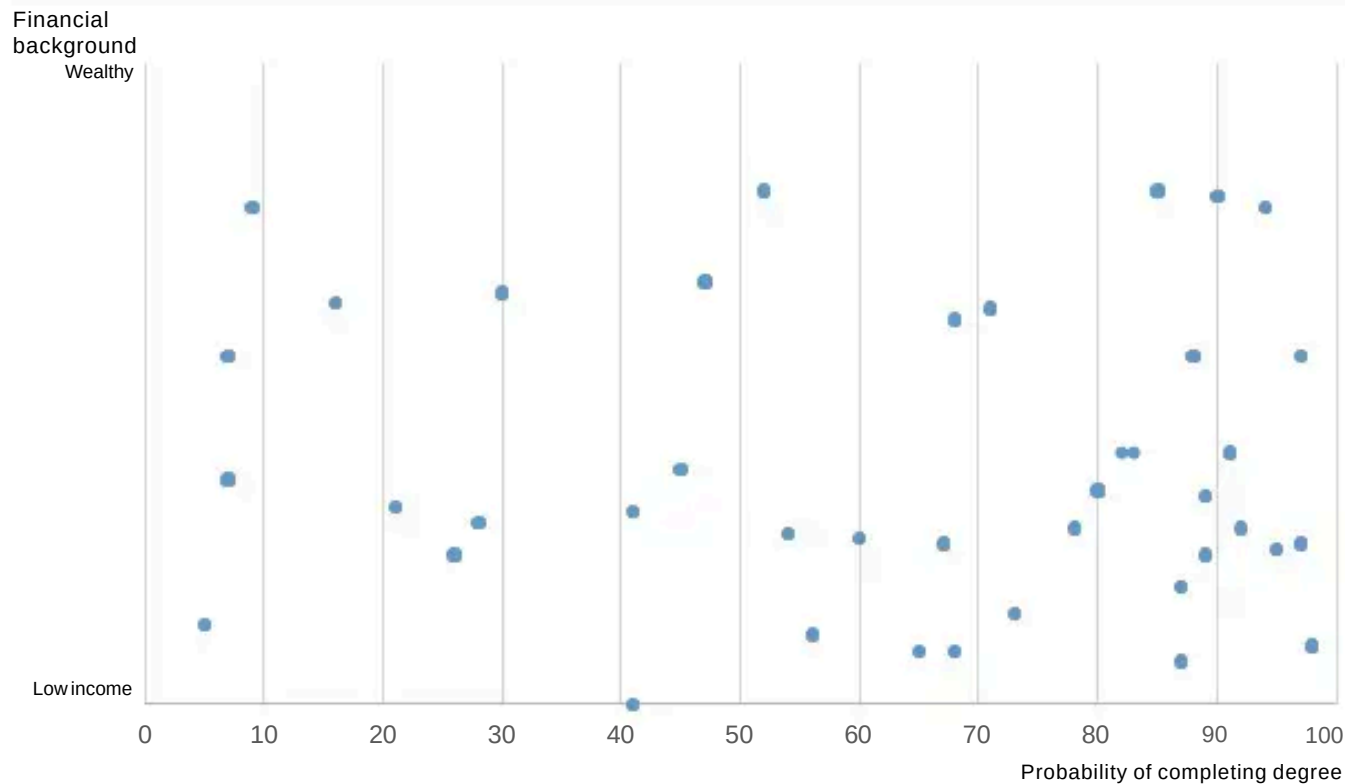


Note 1: Chinese government has established a 'bonus upon completion' program in 2018. Every student from a low income background that completes a masters degree receives a \$10K check from the government while the graduate school receives \$17K.

School

Financial background vs. probability of completing degree in CU's grad school

Correlation, 2018 data



Trainer's guide

- TO PROMPT
- TO PROVIDE IF REQUESTED
- SUGGESTED SOLUTIONS

Creativity question

If we put the joint venture idea aside for a minute, what could be other revenue uplift opportunities for GSU?

Suggested answers

- Higher tuition fees
- New programs, same campus
- New campus, same program
- New campus, new programs
- Online courses
- Summer school
- Leadership seminars for professionals

Most important is candidate's creativity to address revenue issue of Gretzky State

Bonus points for answers that would also tackle/consider need for diversity among student body

Conclusion

What do you think GSU should do?

Suggested answered

- Enter JV
 - New revenue streams: \$83K/student and \$100K/low income graduating student (83K + 17K of gov. program)
 - Diversity of student body: Enlarged student body in terms of financial background and nationality (no information available on school staff)
 - New programs offering: Business & Law
- Risks
 - Would staff of both schools accept?
 - Would CU's brand image affect negatively GSU's brand equity?
 - Are US and Chinese governments onboard with this collaboration?
 - Operating model might be complex with two schools managing this new campus

Case #06 - Pescador Group

Written by Eduardo Ortiz Reynaga, HEC MBA 2020

Context

Situation: Marine fisheries provide 80 million metric tons of seafood annually, supporting a USD \$900 billion seafood industry. As the global population rises to 9 billion in 2050 and economic development expands, the demand for seafood is expected to increase considerably.

Problem: Unfortunately, more than a third of wild fisheries are already overexploited or depleted. Thus, the rising demand for seafood may be met by dramatic declines in seafood supplies if current levels of overfishing and habitat destruction continues.

Solution: Sustainable management of fish stocks has the potential to restore ecosystems and increase global fish catch, expanding total protein supply and supporting global food security.

Case Question

Intro: Your client is Pescador Group, a hybrid social enterprise composed of two partner organizations. Their mission is to foster the restoration of ecosystems and the development of collaborative fishing economies.

Pescador is composed of two partner organizations:

- Row Boat Org – a community development NGO with expertise in marine environments and social transformation.
- Fly Rod Inc – a seafood distribution company in charge of the transport, processing, and distribution of the products sourced from sustainable fishing communities.

The group is looking to raise a Series A funding round from Encourage Capital, an impact investment firm that seeks to deploy private capital into solutions to the world's most pressing challenges, in order to reach more communities. You have been asked to advise Pescador on how to demonstrate to the fund an attractive investment opportunity both from a financial and impact perspective.

Case Overview

Format: Interviewer-driven

Difficulty Level: 

Topic: Impact Investing

Industry: Sustainable Fisheries

Concept(s) Tested: Social & environmental impact, profitability.

Interviewer Guide

- Interviewer should take the time to set the stage, this context in which the company is operating might lead to interesting insights from the candidate.
- This is not a quantitative case. The candidate might feel inclined to write down every number that they hear. Encourage them to focus on the big picture and the overarching strategy.
- Throughout the case, keep in mind that this case is about securing funding, not fixing or improving the operations of the company.



Consulting
Club

Case #06 - Pescador Group

Written by Eduardo Ortiz Reynaga, HEC MBA 2020

Clarifications

Encourage Capital (investor):

Encourage believes they can generate both compelling investments returns and social and environmental impacts. Their investment strategies are designed with impact as the fundamental value of their decision-making.

Pescador

It was founded three years ago and is currently working towards the restoration of a single seafood species (Scallops) in one community in Baja California, Mexico.

Business Model

The intervention of the firm works in three steps:

1. Identify a fishing community and species that has the potential to develop a commercially-attractive enterprise.
2. Design, implement, and invest in sustainable fishing strategies that improve the quality and yield of the species.
3. Commercialize the resulting product to serve customer preferences for sustainability, quality, and food safety.

For environmental restoration to work, fishermen engage in other types of activities while they wait for their resource to recover. Such activities include sea-bottom cleaning, surveillance for poachers, and monitoring and censusing.

Interviewer Guide

Encourage Capital

It is very important to note that Encourage would be interested in investing if the deal is aligned with their mission for financial and impact returns.

Pescador

Pescador is an impact-first company. That means that the group is in business for the impact - profit follows. It is important that the candidate keeps this in mind throughout the case.

Business Model

At this point in time, Pescador (as a business) is EBITDA negative. It will continue to be so until they can fish sustainably from a fully-recovered ecosystem.

- The candidate should take time to clarify why Pescador would be interested in raising funds
- Candidate should clarify the objective of the case and keep in mind that this is a case for raising funds, not fixing the operations of the company.



Consulting
Club

Case #06 - Pescador Group

Written by Eduardo Ortiz Reynaga, HEC MBA 2020

Clarifications

Financing

During the fishing moratorium, the fishermen's salaries, as well as the groups overhead expenses are entirely financed by Row Boat Org, whose resources come from private donations and grants from large Foundations.

Revenue

If asked, have the candidate brainstorm likely revenue streams of Fly Rod. Confirm that, due to the firm's fishing capacity and strategy, Fly Rod pursues only the following revenue streams:

- Few high-end restaurants in Mexico
- Mexican consumers through a third-party online gourmet store

Inventory

Three years ago, the census showed 400,000 scallops in the sea bottom of the fishing community. Today, that number is 4 Million. There is an estimated capacity of 60 Million.

Other

- Due to best fishing practices, Pescador holds an exclusive fishing license in the community where they work.
- Pescador currently works with 109 fishermen.
- We have no information on competitors but it is safe to assume that competitors are trying to extract as much product as possible due to the increasing global demand.
- There is no information on how much money Pescador is looking to raise but it is safe to assume that the funds will be used to increase their impact, reach, and profitability.

Interviewer Guide

Financing

What is relevant about this financing strategy is that this money is "free". Since the money comes from donations and grants, there is no need to repay.

Revenue

Pescador has intentionally decided to not sell aggressively since the sea bottom is not fully recovered.

Inventory

If asked, you should tell the candidate that Pescador is censing for other species that could be restored.

Other

Fishing license: this means that only Pescador can fish and distribute the product coming from this portion of the sea.

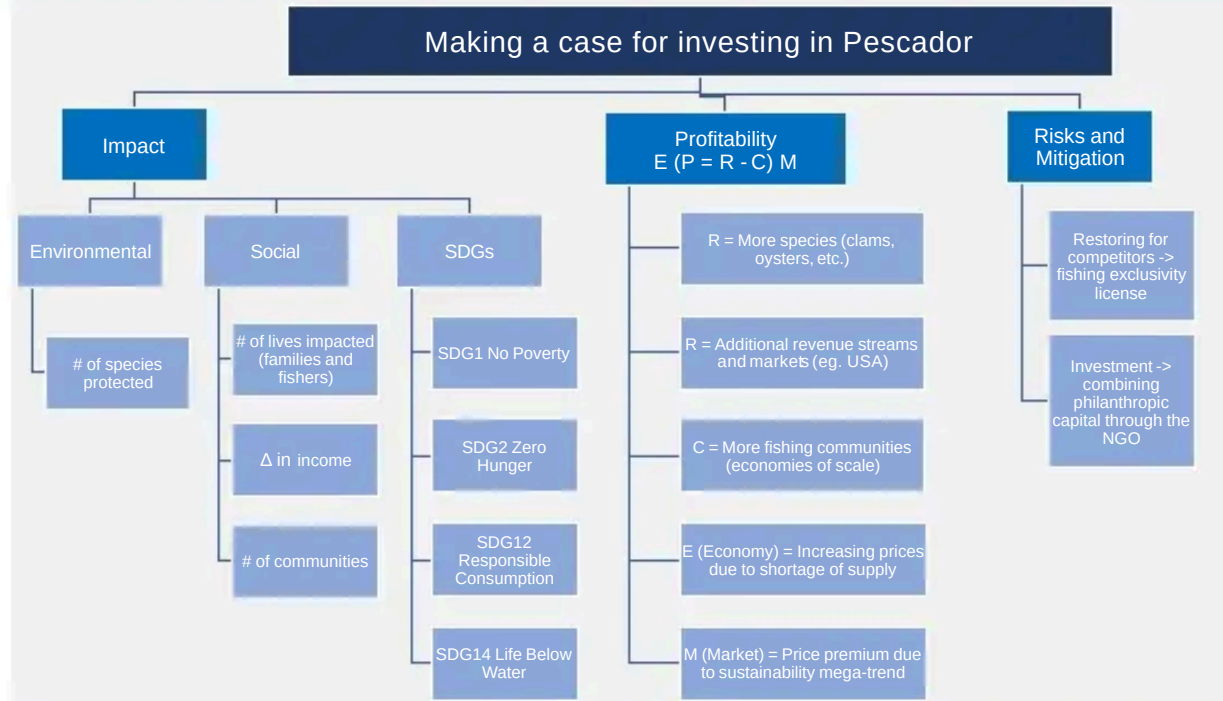


Consulting
Club

Case #06 - Pescador Group

Written by Eduardo Ortiz Reynaga, HEC MBA 2020

Sample Framework



Interviewer Guide

Good

The candidate should understand that this is a case for a go/no go investment decision and (s)he creates a framework that highlights the financial opportunities or attractiveness of the company.

Better

The candidate integrates impact KPIs into the structure such as # of species protected, # of communities/people reached, enhanced livelihoods through increased income, etc. Alternatively, the candidate frames the impact of the company under the UN SDGs.

Best

They highlight the impact of the economy (expected shortage of seafood supply) in the price of the products, the consequence of the sustainability mega-trend in shaping consumer expectations (price premium for sustainable brands), and/or the barriers of entry for competitors (sustainability certifications or fishing licenses).



Consulting
Club

Case #06 - Pescador Group

Written by Eduardo Ortiz Reynaga, HEC MBA 2020

Recommendation

If not done already, ask the candidate to come back to the why of the case and to keep in mind that the parties are in this for the social and environmental impact alongside the financial returns. Then ask the candidate to come to a conclusion and present the strategy of what to highlight about the firm to the client.

Candidate should provide a recommendation that:

- Restates the problem of raising capital
- Highlights the mission alignment between the impact investor and the company
- Showcases mainly two aspects of the potential deal:
 - The opportunity for combined social and environmental impact (with a few KPIs)
 - The opportunity for increased profitability through the use of funds. The candidate should at least identify 1) the opportunity for restoring, fishing, and distributing more species; and 2) the possibility to reach more communities.
- Offers insights as to why the industry and the economy favor this deal
 - Ex. Shortage of supply and conscious consumers translating into price premiums
- Names a few risks associated with the investment and has initial ideas on how to mitigate these risks.

Interviewer Guide

Good

Candidate should take a brief moment to collect their thoughts and articulate a structured recommendation, using insights taken from the case analysis.

Better

Candidate should offer specific ideas as to how profitability could be increased and its relationship to the potential use of funds.

Best

The candidate offers a compelling and creative strategy that sums up the impact and financial opportunities of the investment. The candidate also identifies a few risks and offers interesting mitigation strategies.



Consulting
Club

Case #07 – Ultra Running Ltd.

Written by Jon Wiedeman, HEC MBA 2020

Case Question

Situation: Your client is Ultra Running Ltd., an athletic events operator who specializes in hosting large international running competitions of varying distances all in excess of 42.2KM, called Ultra Marathons. The firm is under new leadership and is looking for growth opportunities using £250,000 that was allocated. You've been asked to advise them on how to improve revenue using these funds, and how to do so profitably.

Clarification

Business Model:

- Races take place across the world and can be 50KM, 100KM or 200KM in length. Money is typically tight as ultra races are still relatively uncommon compared to shorter distances, and local volunteers are used for the vast majority of roles to staff each race. Ultra Ltd. is headquartered in London, UK.
- Revenue streams:
 - Tickets (charged to runners of events). Ticket prices are the same across all races.
 - Merchandise (re-selling merchandise from partner athletic brands like Nike, Adidas and Saucony)
 - Sponsorships (advertising revenue for brands placing marketing material at events)

Objective:

- Ultra is looking to increase revenue as significantly and as quickly as possible, ensuring that all revenue growth is also profitable and supports the overall mission of being the leading global ultra-marathon operator.

Other:

- We only have £250,000 to spend on a new race, unless we decide to divest in other aspects of our business
- We feel we can get similar amounts of volunteers at all locations
- We have the expertise and partnerships to access all materials and race direction etc

Case Overview

Format: Interviewee-driven

Difficulty Level: 

Topic: Growth

Industry: Sports

Concept(s) Tested: Logistics, basic financial statement knowledge, creativity

INTERVIEWER GUIDE

- Interviewee should take time to clarify what ultra marathons are and the business model of Ultra Ltd.
- If asked for revenue sources, have the candidate brainstorm and then confirm the three sources. Ideal candidates will use this information to personalize a structure to this firm.
- Candidate should clarify the objective and constraints involved (namely, £250,000), and ideally show understanding or request it of likely clients and channels.

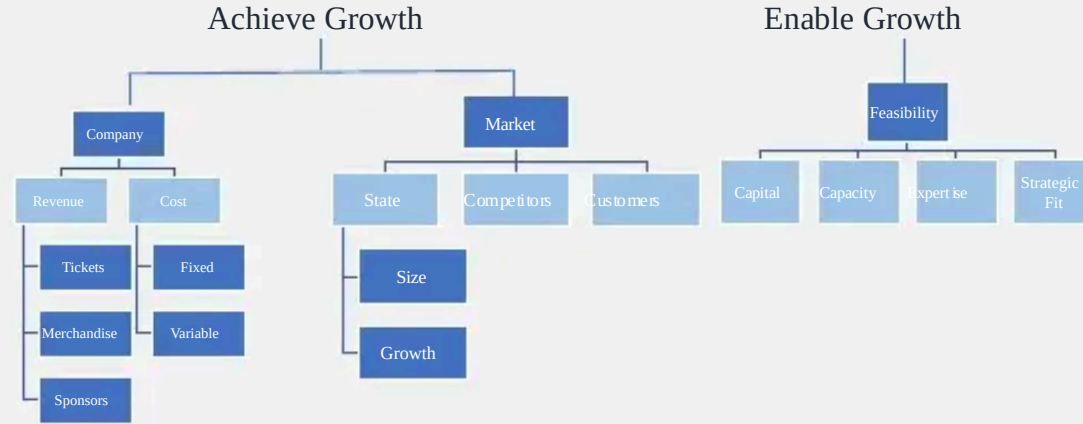


Consulting
Club

Case #07 – Ultra Running Ltd.

Written by Jon Wiedeman, HEC MBA 2020

Sample Framework



INTERVIEWER GUIDE

Good

Candidate should create a structure that considers the financial implications to grow, and to do so profitably, as a priority. Revenue streams should make use of identified business segments (tickets, merch, sponsorships).

Better

Candidate should consider the ability to grow given explicit and implicit constraints (£250k as well as talent, capacity etc)

Best

Ideal structure should also show consideration for how the market may impact revenues (whether ultra marathons are growing or not), as well as questions like risks and strategy (qualitative aspects of a decision given objective of "being the leading global ultra-marathon operator"). But these should second-order considerations, and not priority. Great candidates should drive the case by suggesting a dive into the company financials and request information on the revenue streams.



Consulting
Club

Case #07 – Ultra Running Ltd.

Written by Jon Wiedeman, HEC MBA 2020

Exhibit 1 - Analysis

Distribute to candidate the financial statement by race location (London, Switzerland, France, Tasmania) along with projections for three new possible races. If candidate does not calculate estimated profit margins for each race, ask them to do so.

Ultra Running Ltd. Consolidated Financial Statement by Race Location						Projected Statements for New Possible Races		
	London	Switzerland	France	Tasmania	Total	Total = Ven - Tas	Cadaques, Spain	Perth, Australia
Revenue								
Tickets*	300,000	175,000	200,000	100,000	775,000		105,000	144,000
Merchandise	90,000	52,500	60,000	22,500	225,000		26,250	36,000
Sponsor	72,000	49,000	56,000	30,000	207,000		-	-
Total	462,000	276,500	316,000	152,500	1,207,000		131,250	180,000
Costs								
Labor	25,400	18,000	16,000	7,800	71,200		15,000	12,000
Materials								
Merchandise	60,000	35,000	40,000	15,000	150,000		17,500	24,000
Food, drinks, giveaways	120,000	70,000	80,000	24,000	294,000		35,000	48,000
Communications/Mktg	55,000	27,500	42,500	20,000	145,000		15,000	20,000
Travel and logistics	20,000	45,000	40,000	80,000	185,000		42,000	75,000
Total	284,400	195,500	218,500	146,800	845,200		124,500	179,000
Operating Profit	177,600	81,000	97,500	5,700	361,800	549,100	6,750	1,000
Operating Margin	38%	29%	31%	4%	30%	34%	5%	1%
*Ticket prices are equal across all races								

Note: Allow for estimates to simplify math, so long as the candidate identifies that profits of current races are around 25-40%, except Tasmania which is much lower.

INTERVIEWER GUIDE

Good

Candidate should clear the slide by introducing it and confirming understanding of it. Candidate should realize the opportunity to compare profit across current and proposed races and identify which are the most and least profitable.

Better

Candidate should identify why races show different levels of profitability: 1) London delivers the greatest overall profit due to its ticket sales and merchandise. 2) Tasmania see heavy Travel and Logistics costs, likely due to its distant and remote location, are exceedingly high for such a small race. If asked, confirm that this is not something the company is likely to be able to change. Vancouver is the most profitable.

Best

Candidate recognizes Vancouver is the only proposed race which would increase the profit margin of the total company but that it exceeds 250k budget. Candidate should therefore consider three remaining options: 1) cancel Tasmania and use funds to launch Vancouver 2) grow revenue through another stream 3) both



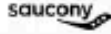
Consulting
Club

Case #07 – Ultra Running Ltd.

Written by Jon Wiedeman, HEC MBA 2020

Exhibit 2 - Analysis

Distribute to candidate the three sponsorship options along with this information:
Three different sponsorship / merchandise deal offers have been provided to Ultra. Ultra doesn't currently work with any of these firms. Each firm is willing to pay an amount to sponsor a race (current or new) in exchange for permission to sell their sneakers at the race.

 	 	 
Company: Nike Shoe: Zoom Vaporfly ⁽¹⁾	Company: Saucony Shoe: Kinvara 10 ⁽²⁾	Company: Hoka Shoe: Bondi 6 ⁽³⁾
"Innovative products, experiences and services to inspire athletes"	"High-performance running shoes & clothes"	"Fitness, trail, hiking, and road running shoes of maximum cushion and minimal weight"
Revenue: £200,000	Revenue: £150,000	Revenue : £100,000
"Just do it."	"Loyal to the sport."	"Time to fly."

(1) United States races only; (2) North American races only; (3) European races only

INTERVIEWER GUIDE

Good

Candidate should clear the slide by introducing it and confirming understanding of key information, namely revenue and location (inside the footnote) for each company. While Nike provides the greatest revenue, it is only plausible for races within the United States. Saucony has the 2nd greatest revenue and is possible in a greater area, specifically in Vancouver as well.

Better

Candidate should recognize that sponsorships could offer potential for both current and new races, but that sponsor revenue is earned in each current race already, and that this revenue could be compromised by the introduction of a new sponsor.

Best

Candidate offers insight into any brand connections, like how Hoka maximum cushion shoes might be a particular fit for ultra marathons, or that "Time to fly" could offer some connotation of traveling the world or expanding horizons with international races.



Consulting
Club

Case #07 – Ultra Running Ltd.

Written by Jon Wiedeman, HEC MBA 2020

Recommendation

If not done already, ask the candidate to calculate the profit margin of Ultra Ltd. Following implementation of recommendations. Then ask candidate to come to a conclusion and present recommendations to the client

Candidate should provide a recommendation that:

- Restates the problem of growth given limited resources
- Specifies clear solutions
 - hosting Vancouver using a mix of the 250,000 available and funds previously allocated for the Tasmania race
 - moving forward with the Saucony sponsorship for the Vancouver race
- Offers support for these solutions that include financial, brand and company mission as evidence
 - Ex. quantitative support for the value of Vancouver, the lack of value in Tasmania and the potential to be achieved
- Names a few risks associated with recommendations or next steps that haven't been discussed in detail already

INTERVIEWER GUIDE

Good

Candidate should take a brief moment to collect their thoughts and articulate a structured recommendation, using insights taken from the case analysis

Better

Candidate should offer specific quantitative evidence of what could be gained if recommendations are followed

Best

Candidate offers a compelling and creative argument that sums up items discussed as well as risks and next steps not yet identified, as a means of continuing the conversation at a future date.



Consulting
Club

Case #07 – Ultra Running Ltd. Exhibit 1

Ultra Running Ltd. Consolidated Financial Statement by Race Location

Projected Statements for New Possible Races

	London	Switzerland	France	Tasmania	Total				
Revenue									
Tickets*	300,000	175,000	200,000	100,000	775,000		105,000	144,000	320,000
Merchandise	90,000	52,500	60,000	22,500	225,000		26,250	36,000	75,000
Sponsor	72,000	49,000	56,000	30,000	207,000		-	-	-
Total	462,000	276,500	316,000	152,500	1,207,000		131,250	180,000	395,000
Costs									
Labor	29,400	18,000	16,000	7,800	71,200		15,000	12,000	32,000
Materials									
Merchandise	60,000	35,000	40,000	15,000	150,000		17,500	24,000	50,000
Food, drinks, giveaways	120,000	70,000	80,000	24,000	294,000		35,000	48,000	100,000
Communications/Mktg	55,000	27,500	42,500	20,000	145,000		15,000	20,000	90,000
Travel and logistics	20,000	45,000	40,000	80,000	185,000		42,000	75,000	80,000
Total	284,400	195,500	218,500	146,800	845,200		124,500	179,000	352,000
Operating Profit					361,800				
Operating Margin					30%				
*Ticket prices are equal across all races									



Consulting
Club

Case #07 – Ultra Running Ltd. Exhibit 2



“Innovative products, experiences and services to inspire athletes”

Revenue: £200,000

“Just do it.”



“High-performance running shoes & clothes”

Revenue: £150,000

“Loyal to the sport.”



“Fitness, trail, hiking, and road running shoes of maximum cushion and minimal weight”

Revenue : £100,000

“Time to fly.”

(1) United States races only; (2) North American races only; (3) European races only

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Case Question

Situation: It is 2017. A Japanese automotive company (4th largest in the world) is planning to launch a new product line of full electric vehicles in by 2021. To promote this product in the medium and long term the marketing department has come up with the idea of entering a motorsport championship to increase the brand reputation and perception from potential clients. The target customer for this EV car are young people (25-35) living in large metropolitan areas. The vehicle will be launched in the local market first, and then in Europe and North America the following years, 2022 and 2023.

Two options are being considered to drive demand prior to the product launch: either setting up a new team in Formula 1 (hybrid technology) or in the Formulae Electric Championship. 1) Performance target for Formula 1 is to be in the top 8 the first year, top 5 the second and top three or higher the third year (when the new product line will be launched). 2) Due to smaller competition, Formula E target is to be within top three from the first year and win the championship at the third year. The board has approved this proposal as long as this activity can break even (i.e. non negative EBIT in P&L) at the third year (2020), and reaches the highest number of potential future customers. How would you proceed and decide which championship to enter?

Clarification

Business Model:

- Revenue streams:
 - TV rights and prize money coming from FIA (Federation internationale de l'automobile).
 - Merchandise (t-shirts, shoes, hats)
 - Sponsorships (advertising revenue for brands placing logos on the car)

Costs: Upfront investments for the formula 1 car would be 150 million \$, whereas for the Formula E would be 12 million \$. (can be disclosed **when introducing the case if candidate doesn't clarify**). These investments take in account all the initial costs associated with setting up the team and designing/manufacturing the cars, but not the operational costs such as logistics, travel expenses, personnel.

Time: Case timeframe is 2018

Case Overview

Format: Interviewer-driven

Difficulty Level: 

Topic: Market entry

Industry: Sports

Concept(s) Tested: Time management, prioritization, data synthesis

INTERVIEWER GUIDE

- Candidate should clarify the objective (noted in bold in the intro) and constraints involved (investments and P&L performance), and ideally show understanding of the reasoning behind the market entry into motorsport.
- Candidate should understand that target of the activity is not profitability but marketing future OEM products, therefore maximizing brand exposure to future customers.



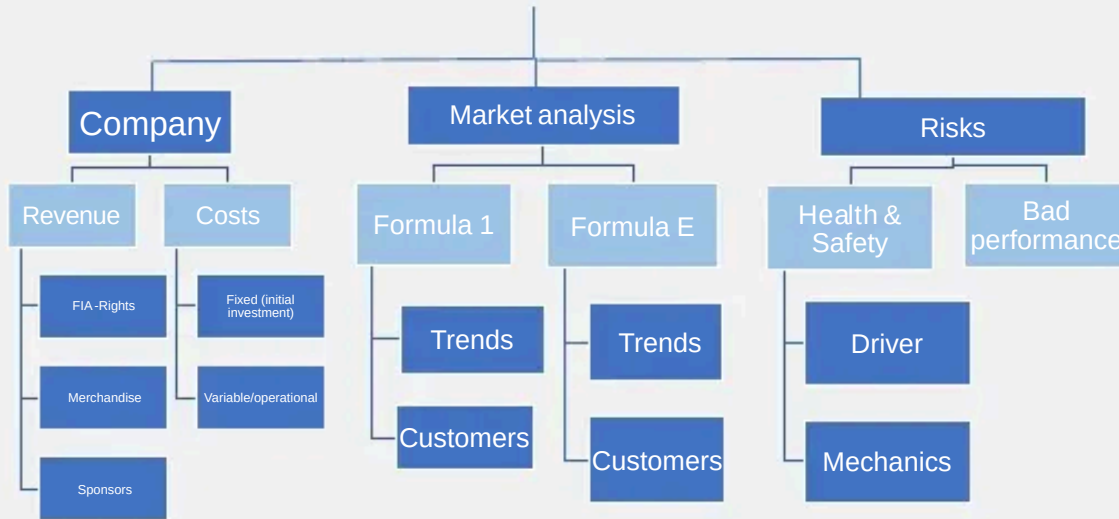
Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Sample Framework

Achieve maximum targeted customers base by 2020



INTERVIEWER GUIDE

Good

Candidate creates a structured, MECE framework that addresses the problem statement of achieving the necessary customer base by the given timeline.

Better

Candidate considers both internal and external factors involved in reaching the goal, as well as reasonable risks involved in pursuing it.

Best

Candidate presents all of the above in an organized, well-articulated way with specific examples to the client and situation.



Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Exhibit 1 – Customer segments F1 vs FE

Candidate should understand the specific interest in an age segment and ask for data regarding customer segmentation amongst the viewers of the two championships.

Customer segments - age	Formula 1 (%)	Formula E (%)
15-25	10	20
25-35	20	40
35-50	25	20
Over 50	45	20

Exhibit 1: customer segments age wise

INTERVIEWER GUIDE

Good

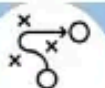
Candidate should notice that FE has more viewers in percentage belonging to the customers' target segment.

Better

Candidate should also understand that this is a percentage table and some absolute numbers are needed to understand the overall penetration of the two championship

Best

Candidate should also understand that this is a time snapshot and doesn't show any trends in the growth or decrease of viewers, should therefore ask for more info on the trends.



Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Exhibit 2 – Number of viewers by region

Candidate should brainstorm about best ways to collect data about the two championships viewers, and ideally ask about TV channel viewers data or a proxy of this. Specify that this is the data collected for 2017.

Country	Formula 1	Formula E
Japan	4	2
United Kingdom	4	0.6
Germany	13	0.2
Italy	5	0.2
Usa	2	1

Exhibit 2: Avg TV viewers (millions) for event in the top 5 Countries

INTERVIEWER GUIDE

Good

Asking for generic data regarding number of people interested in the two championships

Better

Providing specific request or method afor researching and finding this data, e.g. TV viewers which is a public available information and a good proxy for total number of viewers

Best

Reflecting on the information provided beforehand, understand that geography itself is not a major factor in choosing between the two championships since commercialization of the product will happen worldwide.

Moreover the candidate should realize that this data is for year 2017 and that a trend forecast is needed since the new product will be launched only in 2021.



Consulting
Club

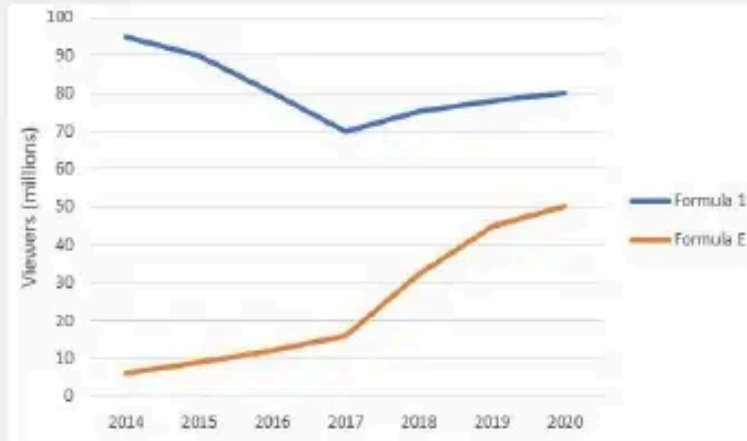
Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Exhibit 3 – Viewers trend

Candidate should brainstorm about best ways to collect data about the two championships viewers, and ideally ask about TV channel viewers data or a proxy of this.

Exhibit 3: Avg event TV viewers (millions)
Historical data and forecast



INTERVIEWER GUIDE

Good

Examine the trend of the two curves, observe that Formula 1 viewers is almost stagnating, whereas FE is growing very fast.

Better

Remember previous data shared and consider also the percentage of viewers in the targeted segment of age, start drawing conclusion and reasonable assumption as why Formula E should be more appealing in the long term in terms of marketing

Best

A further reflection should also take in consideration that viewers of the two different championship might have a different level of interest towards the electric vehicle that will be commercialized in the future: candidate is free to assume that Formula 1 viewers are more “traditionalist” and could therefore apply a “discount factor” on the number of F1 viewers to take in account this different “appeal”.



Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Exhibit 4 – Formula E Revenues

Once the candidate has targeted Formula E has the potential best option, he has to move into the profit and loss analysis to make sure that the marketing activity is financially sustainable from the 3 year onwards (i.e. positive EBIT). Initial investments given in the case has to be considered depreciated linearly in three years (race car technology ages very very quickly). Brainstorm with candidate about possible source of revenue in the motorsport business.

Exhibit 4: Revenue Summary for 2017 Formula E season (\$m)

Team	Points	Revenue 1 (points)	Revenue 2 (class)	Sponsorship	Total revenues
Renault e.dams	270	1	1	2	4
ABT	221	0,8	0,6	2	3,4
Virgin Racing	144	0,53	0,4	1	1,93
Dragon Racing	143	0,53		0,2	0,73
Mahindra racing	105	0,39		0,2	0,59
Venturi	77	0,29		0,2	0,49
Amlin andretti	49	0,18		0,2	0,38
Team Aguri	32	0,12		0,2	0,32
NextEV TCR	19	0,07		0,2	0,27

Rev.1 : based on points scored, 3700\$ rewarded for each point

Rev.2 : First position at the end of the championship awarded 1 million \$, second 600k \$, third one 400k \$

notes: In 2018 championship prize will stay the same, from 2019 it will double and in 2020 it will be three times current one.
Sponsorships are expected to double every year for at least the next three years

INTERVIEWER GUIDE

Good

Remember to utilize performance target for the first three seasons to estimate potential revenues

Better

Read the notes carefully and understands or at least ask to clarify the changes in revenues for year 2 and 3

Best

Start to build a P&L statement for the next three year using the data from the table



Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Exhibit 5 – Formula E Costs

Once the candidate has targeted Formula E has the potential best option, he/she has to move into the profit and loss analysis to make sure that the marketing activity is financially sustainable from the 3 year onwards (i.e. positive EBIT). Initial investments given in the case has to be considered depreciated linearly in three years (race car technology ages very very quickly). Brainstorm with candidate about possible costs associated to motorsport business. Provide the table info when prompted. Guide candidate through the idea of building a YoY income statement to check the Board requirement.

**Exhibit 5: Avg Operating Costs (\$m) for 2018 Formula E
(current and future seasons)**

	Year 1		Year 2	Year 3
	Operating costs			
Logistics		2	-10% of year 1	-10% of year 2
Staff		3		
Spare parts		1		
Car dev.		4		
Fees		0		
Total		10		

INTERVIEWER GUIDE

Candidate should start to build a P&L statement (cost side) for the next three year using the data from the table.

Once completed, candidate should notice that EBIT becomes positive at year three for the Formula E team.

The condition required by the board about the sustainability of the marketing investment is met.



Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Exhibit 6 – Formula 1 Revenues

Some candidates might decide to proceed to the P&L analysis before evaluating the marketing potential: if so they might decide to evaluate profitability for both championship (consuming some extra time). Provide the following table when prompted about F1 revenue streams.

Exhibit 6: Revenue Summary for 2017 F1 Season (\$m)

2016 Class	Teams	FIA revenues		Sponsorships	Total
		Revenue 1 - Fixed	Revenue 2 - Variable		
1	Mercedes	36	61	60	157
2	Red Bull	36	52	50	138
3	Ferrari	36	41	70	147
4	Force India	36	36	40	112
5	Williams	36	33	35	104
6	McLaren	36	31	25	92
7	Toro Rosso	36	23	30	89
8	Haas	-	19	10	29
9	Renault	36	16	30	82
10	Sauber	36	13	12	61
Rev.1: only teams participating for at least two years are entitled to the fixed revenue, Haas entered the championship in 2016 therefore is not entitled for this revenue in 2017					
Rev2.: extra revenues based on classification of the previous season					

INTERVIEWER GUIDE

Good

Remember to utilize performance target for the first three seasons to estimate potential revenues

Better

Read the notes carefully and understands or at least ask to clarify the changes in revenues for year 2 and 3

Best

Start to build a P&L statement for the next three year using the data from the table



Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Exhibit 7 – Formula 1 Costs

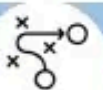
Once the candidate has targeted Formula E has the potential best option, he has to move into the profit and loss analysis to make sure that the marketing activity is financially sustainable from the 3 year onwards (i.e. positive EBIT). Initial investments given in the case has to be considered depreciated linearly in three years (race car technology ages very quickly). Brainstorm with candidate about possible costs associated to motorsport business. Provide the table info when prompted.

**Exhibit 7: Avg Operating Costs (\$m) for 2018 Formula 1
(current and future seasons)**

	Year 1		Year 2	Year 3
	Operating costs			
Logistics		14	-5% of year 1	-5% of year 2
Staff		20		
Spare parts		20		
Car dev.		25		
Fees		1		
Total		80		

INTERVIEWER GUIDE

Candidate should start to build a P&L statement (cost side) for the next three year using the data from the table. Once completed, candidate should notice that EBIT is still not positive at year three for the Formula 1 team.



Consulting
Club

Case #08 – Entering Motorsport

Written by Matteo Loiacono, HEC MBA 2020

Recommendation

Then ask candidate to come to a conclusion and present recommendations to the client

Candidate should provide a recommendation that:

- Explain why Formula E has more potential in terms of future customers outreach
- Show the financial viability of the investment as required by the board
- Suggest complementary activity or analysis to confirm the potential of Formula E
- Names a few risks associated with recommendations (e.g. the risk of bad publicity if performance on track is bad, over expenditure) or next steps that haven't been discussed in detail already

INTERVIEWER GUIDE

Good

Candidate should take a brief moment to collect their thoughts and articulate a structured recommendation, using insights taken from the case analysis

Better

Candidate should offer specific quantitative evidence of what could be gained if recommendations are followed

Best

Candidate offers a compelling and creative argument that sums up items discussed as well as risks and next steps not yet identified, as a means of continuing the conversation at a future date.



Consulting
Club

Case #08 – Entering Motorsport

Appendix for P&L calculations – Formula E

REVENUES FORECAST							
Year 1		Year 2		Year 3		Year 4	
Prize money	Sponsorship	Prize money	Spons	Prize money	Spons	Prize money	Spons
0.9	2	2	4	4	8	4	16
2.9		6		12		20	
top 3		top2		first		1 place	

COST FORECAST						
	Year 1		Year 2		Year 3	
	Depreciation	Op.cost	Dep	Op cost	Dep	Op cost
Logistics			2		2	2
Staff			3		3	2.5
Spare parts			1		1	1
Car dev.			4		3	2.5
Fees			0		0	0
R&D	4		10	4	9	4
		14		13		12

EBIT Projection				
Year 1	Year 2	Year 3	Year 4	
-11	-7	0.00	8	



Consulting
Club

Case #08 – Entering Motorsport

Appendix for P&L calculations – Formula 1

REVENUES FORECAST							
Year 1		Year 2		Year 3		Year 4	
FIA	Sponsorship	FIA	Spons	FIA	Spons	FIA	Spons
0	10	55	20	69	30	76	40
10		75		99		116	
top 8		top 5		top 3			

COST STRUCTURE						
	Year 1		Year 2		Year 3	
	Depreciation	Op.cost	Dep	Op cost	Dep	Op cost
Logistics			14		15	13
Staff			20		20	18
Spare parts			20		20	20
Car dev.			25		20	20
Fees			1		1	1
R&D	50		80	50	76	50
	130		126		122	

EBIT forecast			
Year 1	Year 2	Year 3	Year 4
-120	-51	-23	-6



Consulting
Club

Case #08 – Entering Motorsport Exhibit 1

Exhibit 1: Customer Segments by Age

Customer segments - age	Formula 1 (%)	Formula E (%)
15-25	10	20
25-35	20	40
35-50	25	20
Over 50	45	20

Case #08 – Entering Motorsport Exhibit 2

Exhibit 2: Avg TV viewers (millions) for event in the top 5 Countries

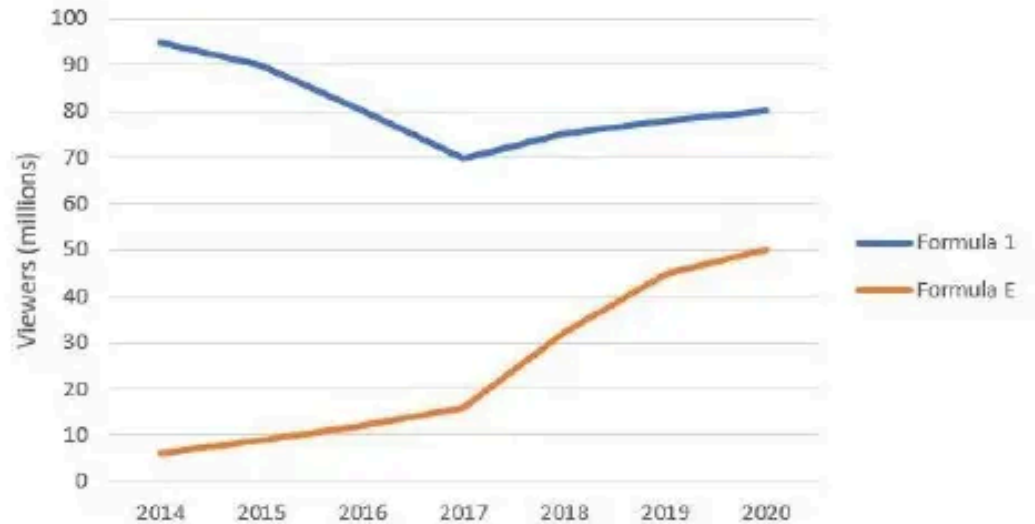
Country	Formula 1	Formula E
Japan	4	2
United Kingdom	4	0.6
Germany	13	0.2
Italy	5	0.2
Usa	2	1



Consulting
Club

Case #08 – Entering Motorsport Exhibit 3

Exhibit 3: Avg event TV viewers (millions)
Historical data and forecast



Consulting
Club

Case #08 – Entering Motorsport Exhibit 4

Exhibit 4: Revenue Summary for 2017 Formula E season (\$m)

Team	Points	Revenue 1 (points)	Revenue 2 (class)	Sponsorship	Total revenues
Renault e.dams	270	1	1	2	4
ABT	221	0,8	0,6	2	3,4
Virgin Racing	144	0,53	0,4	1	1,93
Dragon Racing	143	0,53		0,2	0,73
Mahindra racing	105	0,39		0,2	0,59
Venturi	77	0,29		0,2	0,49
Amlin andretti	49	0,18		0,2	0,38
Team Aguri	32	0,12		0,2	0,32
NextEV TCR	19	0,07		0,2	0,27
notes: Rev.1 : based on points scored, 3700\$ rewarded for each point Rev.2 : First position at the end of the championship awarded 1 million \$, second 600k \$, third one 400k \$ In 2018 championship prize will stay the same, from 2019 it will double and in 2020 it will be three times current one. Sponsorships are expected to double every year for at least the next three years.					



Consulting
Club

Case #08 – Entering Motorsport Exhibit 5

Exhibit 5: Avg Operating Costs (\$m) for 2018 Formula E
(current and future seasons)

	Year 1		Year 2	Year 3
	Operating costs			
Logistics		2	-10% of year 1	-10% of year 2
Staff		3		
Spare parts		1		
Car dev.		4		
Fees		0		
Total		10		



Consulting
Club

Case #08 – Entering Motorsport Exhibit 6

Exhibit 6: Revenue Summary for 2017 F1 Season (\$m)

2016 Class	Teams	FIA revenues		Sponsorships	Total
		Revenue 1 - Fixed	Revenue 2 - Variable		
1	Mercedes	36	61	60	157
2	Red Bull	36	52	50	138
3	Ferrari	36	41	70	147
4	Force India	36	36	40	112
5	Williams	36	33	35	104
6	McLaren	36	31	25	92
7	Toro Rosso	36	23	30	89
8	Haas	-	19	10	29
9	Renault	36	16	30	82
10	Sauber	36	13	12	61
Rev.1: only teams participating for at least two years are entitled to the fixed revenue, Haas entered the championship in 2016 therefore is not entitled for this revenue in 2017					
Rev2.: extra revenues based on classification of the previous season					



Consulting
Club

Case #08 – Entering Motorsport Exhibit 7

Exhibit 7: Avg Operating Costs (\$m) for 2018 Formula 1
(current and future seasons)

	Year 1		Year 2	Year 3
	Operating costs			
Logistics		14	-5% of year 1	-5% of year 2
Staff		20		
Spare parts		20		
Car dev.		25		
Fees		1		
Total		80		



Consulting
Club

Case #09 – Electric Mall Scooters

Written by Nico Vougas, HEC MBA 2020

Case Question

Situation: Out client is the owner of a large scale shopping mall. They have been recently considering forming a partnership with an electrical scooter company to deploy electric scooters inside the mall. They would like to know if this is a good idea.

Clarification

- Business model, 2 types of income:
 - Leasing space for shops
 - Percentage of sales from the shops
- Location: Dubai
- E-scooters: the scooters would allow customers to reach their destinations faster (convenience) and would be placed throughout the mall. Think of Lime, Bird, etc.
- KPI: Maximize revenues, short term
- Number of shops: 520 shops
- Partnership would allow the E-Scooter company to operate in the mall, no costs associated.

Case Overview

Format: Interviewee-driven

Difficulty Level: 

Topic: Cost / Benefit Analysis

Industry: Retail

Concept(s) Tested: Math, creativity, business sense, curiosity

INTERVIEWER GUIDE

- Clarification Questions – the candidate should clarify most of the following.
- Structure:
 - DO: the candidate should include current revenue calculations, compare to future revenues with scooters, and talk about risks.
 - DONTS: the candidate should not speak about costs, nor get too much into details of the business model of the E-scooters (off topic)



Consulting
Club

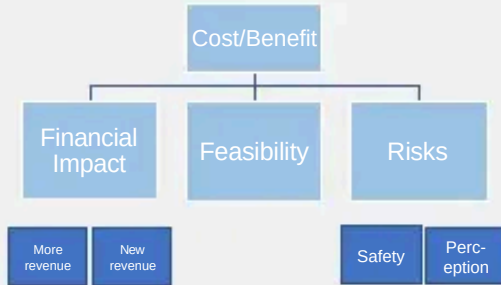
Case #09 – Electric Mall Scooters

Written by Nico Vougas, HEC MBA 2020

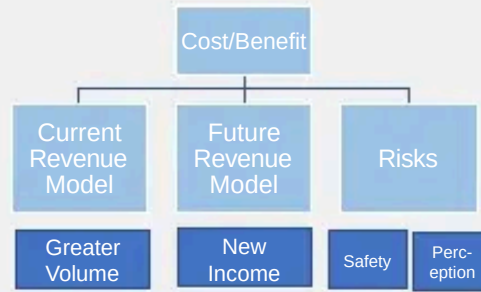
Sample Framework

If the candidate hasn't done so yet, ask if they think this revenue stream will be impacted by E-scooters prior to creating a structure.

Example 1:



Example 2:



INTERVIEWER GUIDE

Good

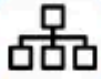
Identify the opportunity to earn revenue from the scooter company for mall access, as well as possible increase mall revenue by getting more people to more stores faster. Consider some risks, namely safety and driving people away from the mall.

Better

A creative candidate can come up with ideas to monetize the space required for charging stations or pickup locations, or make a case for whether accessing more stores more quickly will lead to an increase in revenue.

Best

Considering the capabilities of the mall and its feasibility to implement these scooters, as well as presenting all of the above in a succinct, articulate way with details relevant to the client's business model.



Consulting
Club

Case #09 – Electric Mall Scooters

Written by Nico Vougas, HEC MBA 2020

Calculations 1

Ask the candidate to calculate the current income received by the mall for leasing out space to stores.

Current revenues for lease, provide if the candidate mentions all the following data needed:

- Size of mall: 300,000 square meters
- Percentage for lease: 57%
- Average price per square meter: \$12/day
- Mall is open every day except for 5 holiday days per year

Solution: $300,000 \times 0.57 \times 12 \times 360 = \$738,720,000$ annually

(the candidate is allowed to round according to the interviewer)

INTERVIEWER GUIDE



Consulting
Club

Case #09 – Electric Mall Scooters

Written by Nico Vougas, HEC MBA 2020

Calculations 2

Ask candidate to calculate the income received by the mall in fees to stores, as a % of total sales.

Revenues for percentage of sales:

- 1.5% of sales are mall fees generated
- Average mall time per customer: 2 hours
- 95,000 shoppers per day
- Average spent: \$40/shopper/hour

Solution: $95,000 \times 40 \times 2 \times 360 \times 1.5\% = \$41,040,000$ / year

(round as necessary)

INTERVIEWER GUIDE



Consulting
Club

Case #09 – Electric Mall Scooters

Written by Nico Vougas, HEC MBA 2020

Calculations 3

Ask candidate to brainstorm how these figures are likely to be affected by E-scooters. After a brief brainstorming session.

Additional revenue sources

- More money spent at stores leading to more mall fees
- Charging scooter company to lease space
- Using/selling GPS data tracked by E-scooters to optimize shop positions and value proposition
- Commissions from E-scooter rental or advertisements on scooters/app

Additional risks:

- Injuries
- Shoplifting, theft
- Vandalism
- Focus on popular stores (less time spent window shopping)

Following the brainstorming session, provide the candidate with the following:

- Average time spent at the mall would decrease to 1 hour 20 minutes
- Average amount spent would increase by \$63/shopper/hour

INTERVIEWER GUIDE

Good

Will identify that leasing revenue is unlikely to change, but fees will, given increased access to stores. Calculates impact by re-running all numbers from scratch

Better

Also recognizes that scooters will leave to a decrease in time spent at the mall for the average person, and considers this in the calculation. Candidate will also create buckets for their brainstorming to provide structure.

Best

Candidate is highly creative in their brainstorming. For calculation, notices that new time of 1h20mins is $\frac{4}{6}$ of 2 hours, therefore the breakeven for spending would be $\frac{6}{4}$ of \$40 = 60\$. Since \$63 is higher, store revenues will increase overall. An excellent candidate will specify: by 5%.



Consulting
Club

Case #09 – Electric Mall Scooters

Written by Nico Vougas, HEC MBA 2020

Recommendation

The candidate should be able to conclude that the client should proceed with the partnership and mention some of the risks specified earlier.

Good next steps could include:

- Finding the optimal charging locations
- Estimating dispatch quantity
- Optimizing the layout of the mall stores map based on consumer preferences
- Finding creative new ways to monetize this new partnership

INTERVIEWER GUIDE

Good

Candidate should take a brief moment to collect their thoughts and articulate a structured recommendation, using insights taken from the case analysis

Better

Candidate should offer specific quantitative evidence of what could be gained if recommendations are followed

Best

Candidate offers a compelling and creative argument that sums up items discussed as well as risks and next steps not yet identified, as a means of continuing the conversation at a future date.



Consulting
Club

Case #10 – Technology Takedown

Written by Jon Wiedeman, HEC MBA 2020

Case Question

Situation: Client is a professional services firm offering strategic consulting, software implementation, and business process outsourcing services across a variety of industries. Recently the firm has been experiencing significant pressure on its key segments from its largest competitor. Funds have been allocated towards a competitive take-down strategy, and the CEO has approached you to understand which segments should be targeted and how.

Clarification

Business:

- Consulting: Providing strategic advice on business issues. Assume all clients pay on a “time and materials” basis (aka hours per consultant).
- Software Implementation (SI): Implementing enterprise software like SAP, Oracle onto the systems of clients. Assume all clients pay on a “time and materials” basis (aka hours per consultant).
- Business Process Outsourcing (BPO): Taking over back-office or non-core business functions, like accounting, IT, procurement etc and managing these processes for clients in low cost centers overseas. Assume all clients pay on a “time and materials” basis (aka hours per consultant).

Industries: Financial Services, Healthcare/Life Sciences, Telecommunications, High-Tech. Assume all services provided are within these industries.

Objective: Client is interested in revenue generation, and taking revenue away from its key competitor.

Time: Fast as possible

Geography: Europe

Other: Competition is highly fragmented except for our client and this key competitor, who each have ~1/3 of the total market. We can assume all professional services firms in this market provide each of the three services.

Case Overview

Format: Interviewee-driven

Difficulty Level: 

Topic: Competitive Strategy

Industry: Technology Services

Concept(s) Tested: Information synthesis, driving to the solution, industry knowledge

INTERVIEWER GUIDE

- Interviewee should take time to clarify key objective. Revenue gained is good, revenue taken from this key competitor is better.
- Interviewee should take time to clarify what “segments” means. Confirm both service (consulting, SI and BPO) and industry are relevant.
- Service types should be clarified. These may be unnatural concepts to the interviewee, but a basic understanding will suffice.
- Some sense of the market could be clarified, such as geography or competition, though only a broad sense. Detail should come in the analysis phase.



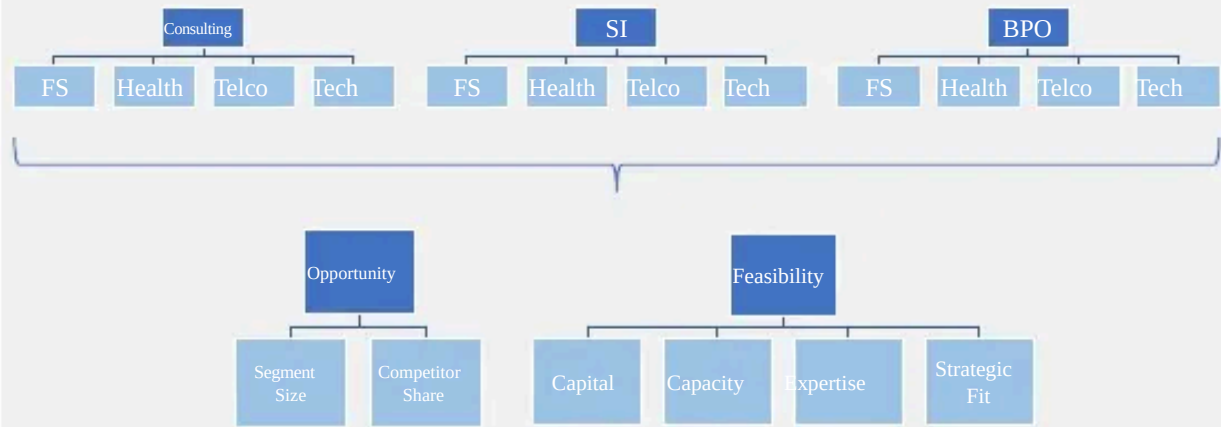
Consulting
Club

Case #10 – Technology Takedown

Written by Jon Wiedeman, HEC MBA 2020

Sample Framework

Grow revenue through key competitive segments



INTERVIEWER GUIDE

- Good**
Candidate should create a structure that is able to target each segment combination. Service and industry cannot be targeted in isolation.
- Better**
Candidate should consider that both revenue opportunity and ability to access that revenue are relevant to deciding each segment.
- Best**
Ideal structure includes consideration for the competitive impact on any particular growth in revenue, and offers valid insights on possible feasibility questions. “Likelihood to Win” could be used as a concept rather than feasibility. Risks may play a role if presented well.

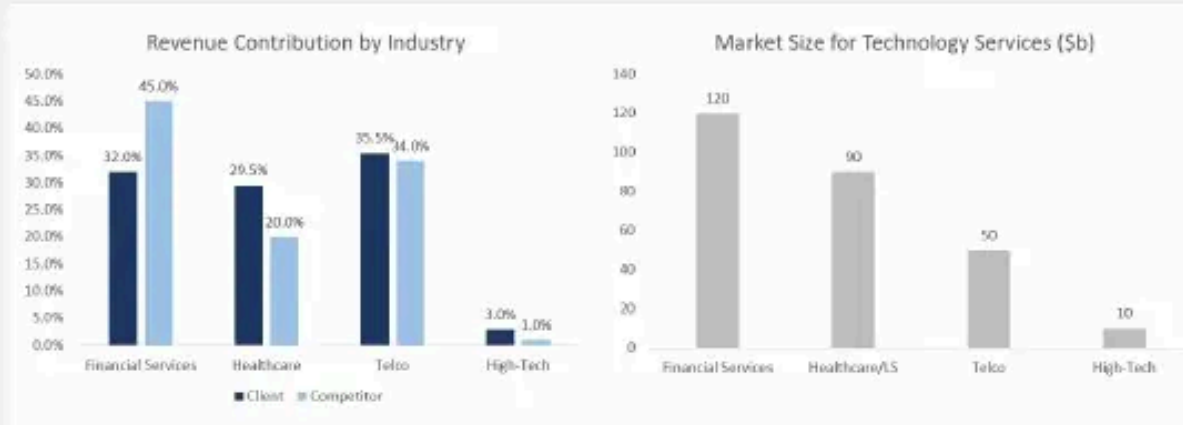
Case #10 – Technology Takedown

Written by Jon Wiedeman, HEC MBA 2020

Exhibit 1 – Industry Data

Distribute Exhibit 1 to the candidate if/when asked about industries.

- If candidate asks for growth in High-Tech, assume all industries are currently growing the same.
Candidate should then disregard High-Tech given its significance as a market and to the players.



Firm revenue: \$90B each (1/3 of \$270B total market size)
Client segment revenue: ~30B in FS, ~27B in Health, ~32B in Telco
Competitor segment revenue: ~40B in FS, ~18B in Health, ~31B in Telco

INTERVIEWER GUIDE

Good

Candidate should clear the slide by introducing it and confirming understanding of it. Candidate should point out difference in market size by industry, and recognize that the competitor may be stronger in the largest industry, FS.

Better

Candidate mentions that winning in FS could cause a hit to competitor, as was asked in the objective. Also recognizes opportunity to calculate firm revenue and therefore industry revenue for both Client and Competitor (given reported share of 1/3 total market which consists of these four industries).

Best

Candidate suggests a mismatch of strength in two largest industries, FS and Healthcare, and considers a hypothesis of taking action to 1) play to the strength of Health and 2) address weakness in Financial Services. Drives to the answer by asking how Service type might be represented within each of these industries or by asking for further information on performance within these industries.



Consulting
Club

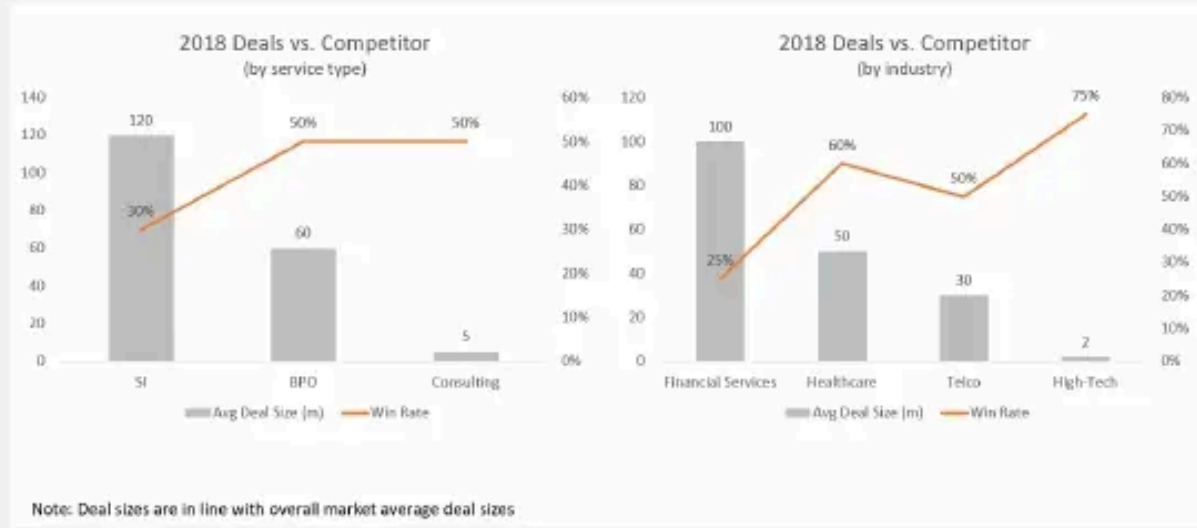
Case #10 – Technology Takedown

Written by Jon Wiedeman, HEC MBA 2020

Exhibit 2 – Competitive Performance

Distribute to candidate Exhibit 2 when asked about performance against the competitor, or asking about Services/Industry performance following Industry exhibit.

- If candidate does not draw the connection between SI and FS [see Best], ask “What do you make of the fact that our win rates are lowest in both SI and FS?”



INTERVIEWER GUIDE

Good

Candidate should clear the slide by introducing it and confirming understanding of key information, namely that this is data just for deals in which client and competitor went head to head. Recognizes the different win rates by segment and highlights SI and FS losses as an issue to address.

Better

Candidate is able to draw key learning that Client is performing best in smallest segments and worse in largest segments.

Best

Candidate draws a connection between the previous exhibit and this one, suggesting that FS is likely to be heavily SI based work and Healthcare is likely to be heavy on BPO. Adds to previous concept of playing to strengths (Healthcare, BPO) and addressing weaknesses (FS, SI).



Consulting
Club

Case #10 – Technology Takedown

Written by Jon Wiedeman, HEC MBA 2020

Brainstorm Solutions

Request candidate to brainstorm possible ways to improve offerings in FS/SI and in HealthCare/BPO

- It may be necessary to reaffirm for the candidate aspects of SI and BPO. If necessary, consult Industry Overviews – Technology from the HEC Case Book to be able to guide the candidate.
- Ask candidate to provide solutions from a Services lens, with consideration or examples for the relevant industry.

Examples:

- SI
 - Quality
 - Better software partnerships (more software to cater to FS-specific needs)
 - Better implementers (experienced in FS-specific implementations)
 - Add-on services / software (integrating with risk models required by new regulations)
 - Customer service (available in the odd hours bankers might need them)
 - Price
 - Faster service
 - Cheaper implementers
- BPO
 - Quality
 - Better support for admin tasks (to free up more patient time)
 - Coverage of more processes (to eliminate errors and increase patient safety)
 - Customer service (better address complexity of payer/provider system)
 - Price

INTERVIEWER GUIDE

Good

Candidate offers logical solutions which show some differentiation across service line (not exactly the same solutions for each

Better

Candidate buckets their brainstorming into relevant categories which showcase structured thought and organization. Quality and Price are two possible buckets. Product and Marketing may be another option. Candidate provides creative and sensible solutions.

Best

Candidate provides a depth of creative solutions which are creative, sensible, and show the ability to understand key drivers of SI and BPO based on provided information. For instance, suggesting that the client create platforms or frameworks to speed up and improve the quality of software implementations. Automating processes to improve BPO (with industry specific examples, like patient forms).



Consulting
Club

Case #10 – Technology Takedown

Written by Jon Wiedeman, HEC MBA 2020

Recommendation

Ask the candidate to come to a conclusion and present recommendations to the client

Candidate should provide a recommendation that:

- Restates the objective of increasing revenue and taking share from the competitor
- Highlights the key segment groups to address
 - Play to our strengths by improving BPO for Healthcare industry
 - Address weaknesses by improving SI offerings in Financial Services industry
- Offers specific solutions for each segment:
 - For BPO/Health do X, Y
 - For SI/FS do A, B, C
- Names a few risks associated with recommendations or next steps that haven't been discussed in detail already

INTERVIEWER GUIDE

Good

Candidate should take a brief moment to collect their thoughts and articulate a structured recommendation, using insights taken from the case analysis

Better

Candidate should offer specific quantitative evidence as to why segments were selected and what possible benefits could be gained by addressing them.

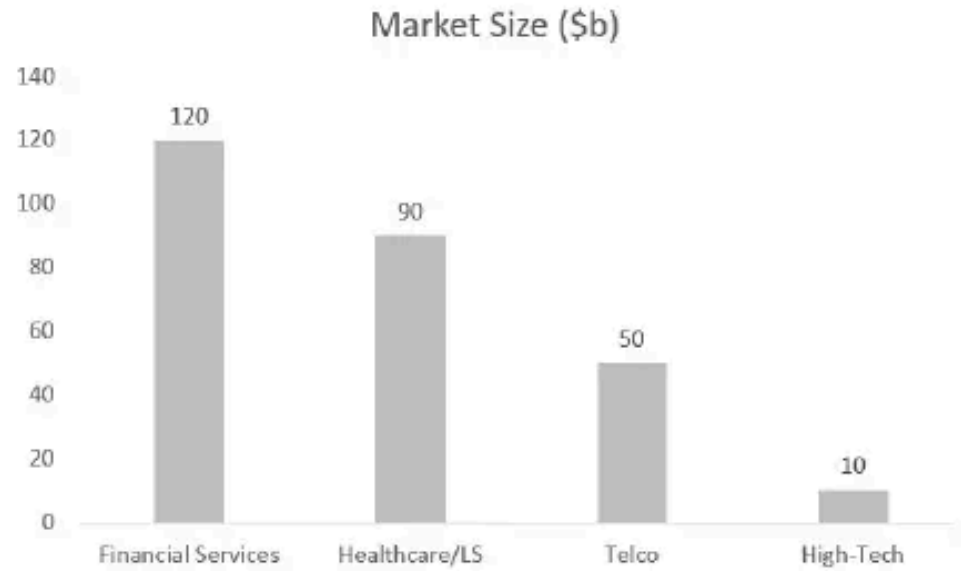
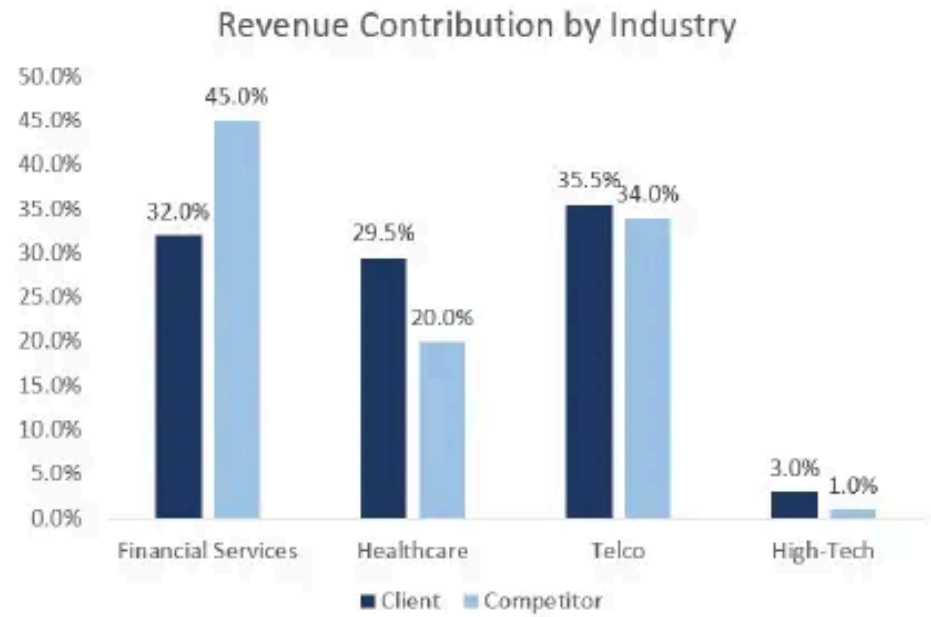
Best

Candidate offers a concise and well articulated conclusion that efficiently boils down the many insights that could be taken from this case into a powerful, compelling story. Ample evidence should be shared, and suggestions for next steps are critical, given the scope of the discussion.

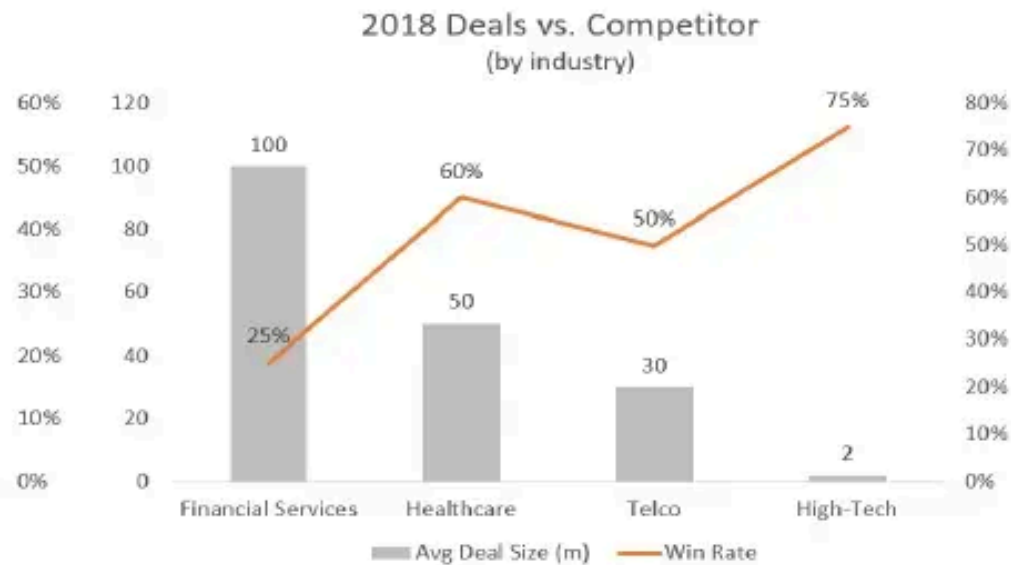


Consulting
Club

Case #10 – Technology Takedown Exhibit 1



Case #10 – Technology Takedown Exhibit 2



Note: Deal sizes are in line with overall market average deal sizes

Case #11 – Neue Gallery

Written by Otávio Suriani, HEC MBA 2020

Case Question

Situation: Neue Gallery New York is a small art museum located in the William Starr Miller House at 86th Street and Fifth Avenue in New York City. Neue Gallery specializes in 17th and 18th century European art, especially German and Austrian art and design. The Gallery usually puts every year \$1,500,000 into a fund. This money goes towards various future expenses. Last year, however, revenues decreased, and the client could only put 50% of what they normally put into the fund.

They have asked you to figure out how to address the lack of funding. What would you suggest?

Clarification

What is the Business Model of Neue Gallery and its revenue sources? What its Product Mix?

- Product Mix/ Rev Sources: Tickets, Membership, Donations.
- Business Model: Tickets – box office at the Gallery; Membership – Annual plans; Donations – Corporate and Benefactors Annual Donations.

What's the fund for? How it is constituted?

- The fund is constituted from 100% of the profits of the preceding year. It is used as the total budget for the next year.

What is the Main Objective and the KPI? In which time span?

- Reinstate the lost revenues and, at least, in the next year, achieve \$ 1,500,000 of investment in its fund.

What public is targeted?

- American and Foreign tourists and local New Yorkers.

Case Overview

Format: Interviewee-driven

Difficulty Level: 

Topic: Revenue growth

Industry: Arts

Concept(s) Tested: Product mix, pricing

INTERVIEWER GUIDE

- Interviewee should take time to clarify how the fund typically receives its capital and therefore understand that 750,000 in profit is the missing link
- Interviewee should clarify how the museum makes revenue, who it caters to
- Interviewee should clarify the objective and the specific timeline to achieve



Consulting
Club

Case #11 – Neue Gallery

Written by Otávio Suriani, HEC MBA 2020

Sample Framework

Turnaround current revenue losses and find new revenue sources

Current Revenues

Tickets, Membership, Donations
What is the revenues mix? What is the total volume of sales (quantity)?
What are the prices?
What is the share in the total revenues from each product?
How are these factors evolving over time?

Root Causes

Demand
What is the market size? What is the market growth? Who are the key players in this market?
What are Neue's current market shares? What are the prices of the competitors? What are the Channels from the competitors?
Supply
Opening Hours? New Exhibitions?
Appeal of the Current Collection?
Customer Preferences
Price; Costumer Experience;
Distribution; Promotion; Brand.

Options

Current Revenues
Tickets: Decrease Price; increase promotion.
Membership: Increase attractiveness; Create new options.
Donations: Increase share of wallet of donors; Improve Donor's benefits.
New Revenues
New revenues options: Museum store; Restaurant; Merchandise;
Rent spaces for events.

INTERVIEWER GUIDE

Good

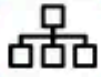
Candidate should create a structure which is able to analyze each of the revenue drivers to understand which has been lacking. For those revenue drivers, candidate should comment on price, volume and mix as areas to address.

Better

Candidate should consider external/market factors for why revenue drivers may be suffering if product offering hasn't changed. Customers, competitors and market health are all viable.

Best

Candidate identifies the opportunity to create new revenue streams in addition to fixing current ones, and presents their structure in a succinct and clear way.



Consulting
Club

Case #11 – Neue Gallery

Written by Otávio Suriani, HEC MBA 2020

Exhibit 1 - Analysis

Distribute Exhibit 1 to the candidate when asked about each revenue stream

Year 1	Tickets	Membership	Donations	Total
Revenues (\$)	666.667	666.667	666.667	2.000.000
Quantity	100.000	333	5	
Price (\$)	6,7	2.002		
Profit (75%)				1.500.000

Year 2	Tickets	Membership	Donations	Total
Revenues (\$)	333.333	532.800	133.867	1.000.000
Quantity	50.000	266	5	
Price (\$)	6,7	2.000		
Profit (75%)				750.000

Possible takeaways:

- Quantity is a problem. Price may still be addressed.
- Market sizing for tickets and market share would help size opportunity to fix revenue drivers
- Supply issues may be relevant: ex. opening hours

INTERVIEWER GUIDE

Good

Candidate should clear the slide by introducing it and confirming understanding of it. Candidate should realize that revenues have declined across the board for an overall drop of 50%, thus amounting to the lost \$750k in profit. Candidate should point out that prices haven't changed, however fewer people are buying tickets, fewer are buying memberships. Additionally donations have remained the same in quantity but have decreased in size significantly.

Better

Candidate should highlight that profits are quite high, and have remained so, suggesting that costs are not a significant problem. Candidate might suggest the donations have a higher profit due to preferred tax treatment.

Best

Candidate drives to the answer by offering possible ideas for what may have caused this drop. Recognizing that each revenue driver was hit, identify that market conditions are likely to have played a role.



Consulting
Club

Case #11 – Neue Gallery

Written by Otávio Suriani, HEC MBA 2020

Market Sizing - Analysis

Ask candidate to size the market for museum-goers to identify what % of the market the museum is capturing.

Provide the candidate with specific numbers found below only as asked

Mkt Size	People	% of Museum goers	Sub.Total	Times per year	Museum Tickets	Avg \$	Total Mkt Size (\$)
NYC	9.000.000	25%	2.250.000	6	13.500.000	4	54.000.000,00
Tourist	60.000.000	40%	24.000.000	1	24.000.000	4	96.000.000,00
Mkt Size							150.000.000,00
Mkt. Share year 1							1,3%
Mkt. Share year 2							0,67%

Following the market sizing, ask the candidate how many additional tickets would have to be sold to achieve the client's objective.

INTERVIEWER GUIDE

Good

Candidate should set out a reasonable process for sizing the market. Top down is preferred given the broad spectrum of people who may be clients.

Better

Candidate should consider the opportunity to go multiple times to the museum, as well as the likelihood to go as a member for frequent attendees versus individual tickets. Math is strong with fair assumptions/estimates

Best

Candidate identifies the insight that the museum has captured a very small portion of the market and recognizes the connection to this based on the niche content offered there. Ideally the candidate considers other logical reasons for why share is so low. Comes to correct answer of how many tickets must be sold, given 75% profit, to fill in gap of \$750k.



Consulting
Club

Case #11 – Neue Gallery

Written by Otávio Suriani, HEC MBA 2020

Recommendation

Candidate should provide a recommendation that:

- Restates the specific goal of creating \$750K in profit by addressing revenue opportunities for the museum
- Provides growth solutions which are backed by case analysis including ways to
 - Increase attendees/members with the same supply of content/hours
 - Increase supply of quality content or open hours
 - Increase price
 - Increase new revenue drivers (merchandise, renting space for events etc)
- Names a few risks associated with any provided solutions

INTERVIEWER GUIDE

Good

Candidate should take a brief moment to collect their thoughts and articulate a structured recommendation, using insights taken from the case analysis

Better

Candidate should offer specific quantitative evidence of what could be gained if recommendations are followed

Best

Candidate offers a compelling and creative argument that sums up items discussed as well as risks and next steps not yet identified, as a means of continuing the conversation at a future date.



Consulting
Club

Case #11 – Neue Gallery Exhibit 1

Year 1	Tickets	Membership	Donations	Total
Revenues (\$)	666.667	666.667	666.667	2.000.000
Quantity	100.000	333	5	
Price (\$)	6,7	2.002		
Profit (75%)				1.500.000

Year 2	Tickets	Membership	Donations	Total
Revenues (\$)	333.333	532.800	133.867	1.000.000
Quantity	50.000	266	5	
Price (\$)	6,7	2.000		
Profit (75%)				750.000



Consulting
Club

Case #12 – Sub Product Disposal

Written by Ishan Vashistha, HEC MBA 2019

Case Question

Situation: Your client is a mining giant with plants in remote locations. To power these plants, your client has relied on thermal power plants for the past 10 years. These plants use coal as fuel and the burning of fuel leaves behind fly ash. Your client requires your help in finding a cost optimum solution for fly ash disposal.

Questions to be answered:

- How will you find the market price?
- What are the viable options for disposal?
- State a strategy including compliance to the regulation.

Clarification

Business: Client produces gypsum, majorly catering to cement industry. Current ROI of the group is 6%. There are two types of Fly Ash produced:

- 1) PCC: Can be sold as it is used in the production of other products such as bricks, cement, roads, etc.
- 2) Pond-Ash: Must be paid for as no one wants to buy it and there only one way of disposal: land fill, which has to be paid for

Market: The area surrounding has enough demand for PCC. No one in the company knows current market price for these items. Poor market conditions till last year, however growth expected in next years due to new import regulations.

Regulations: As per the recent notification from environment protection:

- 40% of the PCC fly ash has to be distributed free of cost & 60% can be sold at market price
- 20% of production has to be given free of cost in case of open market operations being conducted for fly ash disposal

Case Overview

Format: Interviewer-driven

Difficulty Level: 

Topic: Revenue growth

Industry: Mining

Concept(s) Tested: Pricing, market entry

INTERVIEWER GUIDE

- Interviewee should take time to clarify what fly ash is and possible ways it can be disposed.
- As a raw or waste material, it would be fair to ask if it is a commodity priced by the market
- Given the prompt about regulation, further clarification is needed to understand what that regulation is and how it impacts the client.

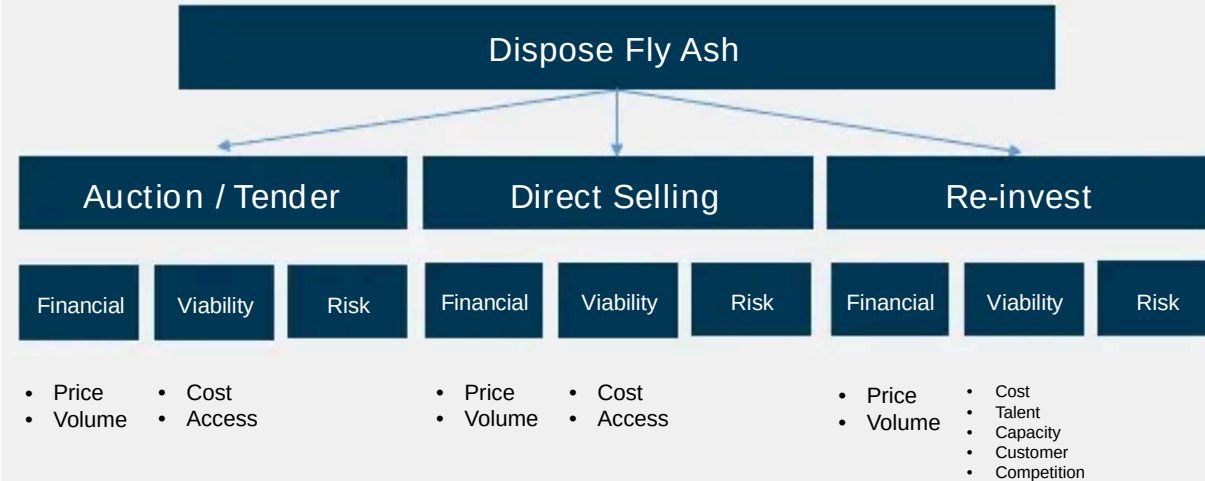


Consulting
Club

Case #12 – Sub Product Disposal

Written by Ishan Vashistha, HEC MBA 2019

Sample Framework



Note:

Auction refers to Releasing tender, where parties can bid/pledge online for a specific quantity

Direct Selling refers to company reaching out to parties who use fly ash to negotiate bulk deal

Re-invest refers to the client diversifying into cement production, as it is already a producer of gypsum which serves for cement creation

INTERVIEWER GUIDE

Good

Candidate should create a structure that offers at least two sensible methods of disposing fly ash.

Better

Candidate recognizes the opportunity to re-use fly ash for cement creation, given the firms connection to the cement industry.

Best

Candidate offers a depth of insights into the specific implications (income, viability, risks etc) for each option. Structure may not include as much detail as sample structure, but the candidate is able to succinctly articulate points similar to those noted.



Consulting
Club

Case #12 – Sub Product Disposal

Written by Ishan Vashistha, HEC MBA 2019

Exhibit 1 - Analysis

Distribute Exhibit 1 to the candidate when asked about financial implications, data or feasibility

If asked about access to capital or a discount rate, tell the candidate the bank will provide a loan at 5% APR and the whole amount has to be paid at the end of 5 years. Till repayment the cement plant will be used as collateral to bank.

Details	Auction	Direct	Re-invest
Units Produced (K Ton)	100	100	100
Utilization	80%	80%	100%
Average Price \$ fetched	4,5	5	4,5
Additional Costs \$k per year	50	100	20
Investment \$k	0	0	400
Payback Period	5 Years		
\$ 4.5 in option 3 is based on transfer pricing & 20 is bank loan			
Details of units sold	100*60% of PCC * 80% sellable		100*60% PCC
Units Sold per year	48	48	60
Units Sold in 5 years year	48*5	48*5	60*5
Sales over 5 years \$k	1080	1200	1350
Details of net revenue	Sales-Cost*5 years-Investment		
Net Revenue	830	700	850

To be calculated by candidate.
Allow estimations and for candidate to simplify dicounting

INTERVIEWER GUIDE

Good

Candidate should clear the slide by introducing it and confirming understanding of it. Candidate should grasp that Auction and Direct are no initial investment and why that is, compared to re-invest, as well as why re-invest provides greater benefit in the future. Candidate should take the initiative to recognize and act on the opportunity to analyze options with solid math and estimations.

Better

Candidate should calculate quickly, with reasonable estimations and keeping track of key prior information (like what % can be used/sold. Should come to correct answers using 5% discount rate (with simplified calculation) and realize the long term benefit of the re-invest option.

Best

Candidate should take into consideration the current economy trend and how that could impact the ability to raise the initial investment required.



Consulting
Club

Case #12 – Sub Product Disposal

Written by Ishan Vashistha, HEC MBA 2019

Recommendation

Ask the candidate to come to a conclusion and present recommendations to the client

Candidate should provide a recommendation that:

- Restates the three main objectives of identifying the optimal method of disposing fly ash, pricing the ash, and acting within new regulations.
- Provides solution backed by evidence to support the re-invest option to best achieve all three objectives
 - Greatest profit over the 5 year period
 - Best solution for long term
 - No pricing ambiguity
 - Avoids issue of having to distribute portion of ash for free
- Names a few risks associated, including the set up and execution of product diversification given market conditions

INTERVIEWER GUIDE

Good

Candidate should take a brief moment to collect their thoughts and articulate a structured recommendation, using insights taken from the case analysis

Better

Candidate should offer specific quantitative evidence of what could be gained if recommendations are followed

Best

Candidate offers a compelling and creative argument that sums up items discussed as well as risks and next steps not yet identified, as a means of continuing the conversation at a future date.



Consulting
Club

Case #12 – Sub Product Disposal Exhibit 1

Details	Auction	Direct	Re-invest
Units Produced (K Tonnes)	100	100	100
Utilization	80%	80%	100%
Average Price \$ fetched	4,5	5	4,5
Additional Costs \$k per year	50	100	0
Investment \$k	0	0	400
Pay Back Period	5 Years		
\$ 4.5 in option 3 is based on transfer pricing			



Consulting
Club

THANK YOU



Image:
HEC Paris
Career
Center

THANK YOU

Thank you to everybody that collaborated and made this new version of HEC Case Book possible.

Specifically we would like to mention the extraordinary collaboration of our Case Creators: Eduardo Ortiz, Matteo Loiacono, Nico Vougas, Otávio Suriani and Ishan Vashistha.

Also a massive thank you to Edgar Ochoa, Evan Helmeid, Dominique Christiansen, Mauricio Mastroprieto, Noémie Escaith, Abhinav Garg, Janika Naust, Joaquin Marcano, Stefanos Sinis, Nefé Etomi, Oliver Montas, Apurv Chaturvedi, Deepa Srinivasan, Gustavo Agreda, Michael Paolillo, Priscilla Loh, and Lorenzo Matteo for sharing their expertise in the Industry Overviews. Your experience and insight has blown us away.

To Harsha Singhraj, Matthieu Viel and Pierre Njeim for sharing their case openings and insights. To Nico Vougas and Sumeet Pai for providing us with the best tips and tricks to improve our Networking skills. To Willie Zhou for her design talents, and to Maria Les and Antoine Conan for contributing however and whenever needed. Without their effort and dedication this would not have been possible.

We would also like to thank our S17 former classmates for creating the first HEC Consulting Club Case Book which stood as a firm foundation on which we created this new version: Benoit Savignac, Yanji Wang, Ankit Agarwal, Ana Janine & Mahendra Suradkar.

Disclaimer

HEC MBA Case Book is built for educational purposes only and is not for resale. Figures and business situations found in the book are fictional and are not designed to represent reality.

This Case Book is meant to supplement and help structure candidates' thinking and training about the consulting recruiting process. Its contents reflect the authors' best thinking but do not claim to be universal truths held by all firms and all interviewers in the consulting industry.